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No. _____

In The
Supreme Court Of The United States
October Term, 1994

NATIONAL PRIVATE TRUCK COUNCIL, INC.,
WESTINGHOUSE ELECTRIC CORPORATION,
and ROY E. GRIFFIS,

Petitioners,

v.

OKLAHOMA TAX COMMISSION, *et al.*,

Respondents.

**PETITION FOR A WRIT OF CERTIORARI TO THE
SUPREME COURT OF OKLAHOMA**

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86 pp



QUESTION PRESENTED

Whether state courts may refuse to grant federal remedies under 42 U.S.C. §§ 1983 and 1988 to persons who have successfully challenged state taxes as violating their rights under the Commerce Clause of the United States Constitution.



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v.

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*Respondents.*²

**PETITION FOR A WRIT OF CERTIORARI TO THE
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OPINIONS BELOW

The opinion of the Supreme Court of Oklahoma issued on July 19, 1994 (App. A, *infra*) is not yet reported. An earlier opinion of the Oklahoma Supreme Court (App. B), *infra*, which was vacated and remanded by this Court "for further consideration in light of *Dennis v. Higgins*, 498 U.S. 439 (1991)," is reported at 806 F.2d 598 (Okla. 1991). The opinion of the district court of Oklahoma County (App. C, *infra*) is not re-

¹ National Private Truck Council, Inc. is a trade association and has no subsidiaries. The non-wholly owned subsidiaries of Westinghouse Electric Corporation are listed in App. H.

² Respondents are the Oklahoma Tax Commission and the following members of the Commission: Robert E. Anderson, Chairman, Robert L. Wadley, Vice Chairman, and Don Kilpatrick, Secretary-Member. The individual respondents are successors in office to other officials whom petitioners had sued in their official capacities for declaratory and injunctive relief.

ported. The decision of the district court of Oklahoma County denying petitioners' motion for a preliminary injunction or escrow is set forth in App. D and App. E, *infra*.

JURISDICTION

The judgment of the Supreme Court of Oklahoma (App. A, *infra*, 1a-23a) was entered on July 19, 1994. The jurisdiction of this Court is invoked under 28 U.S.C. § 1257(a).

CONSTITUTIONAL AND STATUTORY PROVISIONS INVOLVED

The Commerce Clause of the United States Constitution, Article I, Section 8, provides:

The Congress shall have Power . . .

To regulate Commerce with foreign Nations, and among the several States, and with the Indian Tribes;

42 U.S.C. § 1983 provides, in pertinent part:

Every person who, under color of any statute, ordinance, regulation, custom, or usage, of any State or Territory or the District of Columbia, subjects, or causes to be subjected, any citizen of the United States or other person within the jurisdiction thereof to the deprivation of any rights, privileges, or immunities secured by the Constitution and laws, shall be liable to the party injured in an action at law, suit in equity, or other proper proceeding for redress.

42 U.S.C. § 1988 provides in pertinent part:

In any action or proceeding to enforce a provision of section[] . . . 1983 . . . of this title . . . , the court, in its discretion, may allow the prevailing party, other than the United States, a reasonable attorney's fee as part of the cost.

Pertinent provisions of Oklahoma's retaliatory tax statute, 47 O.S. 1986 Supp. § 1120(K) and 68 O.S. 1982 Supp. § 607.1, are set forth in App. F, *infra*.

STATEMENT OF THE CASE

In the decision under review, the Supreme Court of Oklahoma has, for the second time, held that petitioners, who successfully challenged a state truck tax as violating their rights under the Commerce Clause of the United States Constitution, are not entitled to federal remedies under 42 U.S.C. §§ 1983 and 1988 notwithstanding this Court's action in vacating and remanding the first decision denying such relief "for further consideration in light of *Dennis v. Higgins*, 498 U.S. 439 (1991)." *National Private Truck Council, Inc., et al. v. Oklahoma Tax Commission, et al.*, 501 U.S. 1247 (1991).

A. Proceedings Before this Court's Remand

This case has had a long and tortuous history. On December 17, 1984, petitioners filed a class action suit in Oklahoma state court challenging the constitutionality of certain "retaliatory taxes" that the State of Oklahoma imposed on motor carriers who operated trucks in Oklahoma that were registered in certain other states. These taxes were not imposed on trucks registered in Oklahoma. (App. 27a-28a, 59a.) The purpose of these taxes was to retaliate against states imposing so-called "third structure taxes,"³ which certain states have imposed on

³ A "third structure tax" is one that is imposed on motor carriers in addition to the more traditional charges states have levied on such carriers, which are registration fees and fuel taxes (so-called "first structure" and "second structure" taxes). Examples of third structure taxes include ton-mile taxes, which are based on the weight of trucks and the mileage operated in the taxing state, and axle taxes, which impose a flat charge based on the number of axles on each vehicle. In *American Trucking Ass'ns, Inc. v. Scheiner*, 483 U.S. 266 (1987), this Court invalidated one such third structure tax, Pennsylvania's axle tax. The Court noted that flat taxes like Pennsylvania's had prompted Oklahoma and six other states to enact retaliatory taxes,

all motor carriers operating in those states, including Oklahoma registered carriers, and to which the Oklahoma legislature objected. These statutes carried out this purpose by authorizing respondents to impose taxes on carriers registered in those states that operate in Oklahoma which taxes are equal in amount to the third structure tax imposed by the carriers' state of registration. By thus penalizing carriers from third-structure tax states, Oklahoma's legislature hoped to pressure the legislatures of those states to repeal their third-structure taxes or to exempt Oklahoma-based carriers from them.

Respondents implemented these statutes in 1983 by imposing retaliatory taxes on carriers with trucks operating in Oklahoma that were registered in 25 states.⁴

Petitioners are the National Private Truck Council, Inc. ("NPTC"), Westinghouse Electric Corporation, and Roy Grifis. NPTC is the national trade association of "private carriers" — companies that own and operate their own truck fleets primarily in furtherance of their non-transportation businesses. NPTC is the successor to the Private Truck Council of America, Inc., which was the original lead plaintiff in this suit and in six other suits which successfully challenged retaliatory taxes imposed by other states.⁵ Westinghouse Electric Corporation is

and it stated: "Such taxes can obviously divide and disrupt the market for interstate transportation services." *Id.* at 285 (footnotes omitted).

⁴ These were Alabama, Arizona, Arkansas, Connecticut, Delaware, Florida, Georgia, Idaho, Kentucky, Louisiana, Maine, Maryland, Massachusetts, Mississippi, New Hampshire, New Jersey, New Mexico, New York, North Carolina, Nevada, Ohio, Oregon, Pennsylvania, Vermont, and West Virginia.

⁵ *Private Truck Council v. Secretary of State*, 503 A.2d 214 (Me. 1986), *cert. denied*, 476 U.S. 1129 (1986); *Private Truck Council v. State*, 128 N.H. 466, 517 A.2d 1150 (1986); *Private Truck Council v. State*, 221 N.J. Super. 89, 534 A.2d 13 (1987) *aff'd en banc*, 111 N.J. 214, 544 A.2d 33 (1988); *State v. Private Truck Council*, 258 Ga. 531, 371 S.E.2d 378 (1988); *State Dep't of Revenue v. Private Truck Council*, 531 So.2d 367 (Fla. Dist. Ct. App. 1st Dist. 1988); *Dennis v. State*, 234 Neb. 427, 451 N.W. 2d 676 (1990), *rev'd on other grounds sub nom. Dennis v. Higgins*, 498 U.S. 439 (1991).

the successor to the rights of its former subsidiary Circle W Transportation, which operated 15 Pennsylvania registered trucks in Oklahoma and therefore paid \$1,080 in retaliatory taxes to Oklahoma in 1984. Roy Griffis is an unincorporated "owner operator" residing in Bearden, Arkansas. Griffis paid \$185 in retaliatory taxes to Oklahoma in 1984. (App. 25a.)

Petitioners' complaint alleged that Oklahoma's retaliatory tax statutes discriminated on their face against interstate commerce and out-of-state residents in violation of the Commerce Clause and the Privileges and Immunities Clause of Article IV, Section 2 of the United States Constitution. It also alleged that the respondents were therefore liable to petitioner under 42 U.S.C. § 1983. The complaint sought declaratory and injunctive relief, refunds of taxes paid and attorneys' fees under state law and 42 U.S.C. § 1988. Upon filing the complaint, petitioners moved for a preliminary injunction or, alternatively, for an order requiring the tax collections to be held in escrow pending the outcome of the suit.

Although the trial court acknowledged that the taxes were probably unconstitutional, it denied petitioners' motion for a preliminary injunction against their collection, or alternatively, for an order requiring them to be held in escrow because it felt that the merits of the action could be promptly decided. (App. 54a-55a, 58a.) Two years later, another judge of the same court finally ruled on petitioners' summary judgment motion, denying it and upholding the constitutionality of the taxes. (App. 48a-53a.)

Petitioners appealed to the Oklahoma Supreme Court. More than three years later, on June 28, 1990, that court issued a decision reversing the trial court's decision upholding the taxes. (App. B.) The court held, "The questioned statutes are plainly discriminatory" and thus violate the Commerce Clause under the test set forth in *Complete Auto Transit, Inc. v. Brady*, 430 U.S. 274, 279 (1977). (*Id.* at 34a-35a.) The court stated:

"Obviously ... Oklahoma's retaliatory taxes do not pass the third and fourth prongs [of the *Complete Auto* test]." (*Id.* at 35a.)

With respect to a remedy, the court held that petitioners are entitled under the pertinent Oklahoma tax refund statute to recover refunds of unconstitutional taxes on a class-wide basis. (*Id.* at 39a.) However, the court ruled that its holding would operate "quasi-prospectively from the date of the . . . decision [of this Court in *American Trucking Ass'ns v. Scheiner*,]" — *i.e.*, from June 23, 1987.⁶ As corrected by two subsequent orders, the court's final opinion remanded with directions to respondents to refund taxes paid with respect to tax periods occurring after June 23, 1987.⁷

The Oklahoma Supreme Court also briefly addressed and rejected petitioners' claim under 42 U.S.C. § 1983 and their associated claim for attorneys' fees under 42 U.S.C. § 1988. It did so on the basis of *Consolidated Freightways Corp. v. Kassel*, 730 F.2d 1139 (8th Cir.) *cert. denied*, 469 U.S. 834 (1984) and

⁶ The court did not explain how the decision in *Scheiner*, which concerned the constitutionality of facially neutral taxes, was related to the constitutionality of facially discriminatory taxes like those at issue in this case, but it concluded that denying refunds of taxes paid before *Scheiner* was warranted because of the "significant financial hardship upon the State in exercising its governmental functions" if full retroactive effect were given to its decision and because of a supposed "presumption of prospective application of state court decisions invalidating tax statutes." (*Id.* at 45a.)

⁷ The court's initial decision, dated June 28, 1990, directed respondents to refund taxes "collected after June 23, 1990." On respondents' petition for rehearing, the Court issued a "Corrected Order" which amended the June 28, 1990 opinion to require refunds of all taxes collected "for the tax year 1987" and thereafter. On a petition for further rehearing filed jointly by respondents and petitioners, the court issued a further "Order of Clarification" which directed respondents to refund taxes paid "for the tax periods or portions of tax periods occurring after June 23, 1987."

other decisions (App. 46a), all of which this Court overruled in *Dennis v. Higgins*.⁸

B. This Court's Remand

Petitioners filed a petition for a writ of certiorari to review two aspects of the Oklahoma Supreme Court's decision: its denial of refunds of taxes paid with respect to the period before the *Scheiner* decision and its denial of petitioners' claims under 42 U.S.C. §§ 1983 and 1988. Petitioners pointed out that the denial of their claims under §§ 1983 and 1988 conflicted directly with this Court's decision in *Dennis v. Higgins*. In *Dennis*, which involved the challenge by NPIC and others to Nebraska's retaliatory truck tax on the same Commerce Clause ground asserted in this case, the Court held that the taxpayer's Commerce Clause claims were cognizable under § 1983. The Court stated that § 1983 "provides a remedy, to be broadly construed, against all forms of official violation of federally protected rights." 498 U.S. at 445. With respect specifically to the challenge to Nebraska's truck taxes, the Court held: "We conclude that the Supreme Court of Nebraska erred in holding that petitioner's Commerce Clause claim could not be brought under 42 U.S.C. § 1983." *Id.* at 451.

On July 31, 1991 this Court issued an order in which it summarily vacated the judgment of the Oklahoma Supreme Court and remanded the case to that court "for further reconsideration in light of *Dennis v. Higgins*, 498 U.S. 439 (1991)." 501 U.S. 1247.

⁸ Petitioners had also argued to the trial court and the Oklahoma Supreme Court that they were entitled to an award of attorneys' fees from the fund of refunds recovered for the class under the common fund doctrine, which is well established under Oklahoma law, as it is in other states and in federal law. *State ex rel. Burk v. Oklahoma City*, 522 P.2d 612 (Okla. 1973). The Oklahoma Supreme Court in its decision did not address petitioners' claim for common fund fees, but instead stated that petitioners were not entitled to fees under a repealed state fee shifting statute, 12 O.S. 1981 § 18(c) — a contention that petitioners had never argued. (App. 46a).

C. The Decision Below

After several unsuccessful attempts to resolve outstanding issues with respondents, petitioners on July 20, 1992 filed a motion with the Oklahoma Supreme Court to remand the case to permit the trial court to establish a plan of distribution of tax refunds and accrued interest and to determine petitioners' attorneys' fees and litigation expenses. Respondents filed no opposition or other response to that motion.

On February 24, 1994 the Oklahoma Supreme Court *sua sponte* issued an order directing the parties to file briefs addressing various issues related to petitioners' entitlement to attorneys' fees. (App. G, *infra*.) After receipt of briefs from the parties, the court issued a decision holding that "plaintiffs are not entitled to relief under §§ 1983 and 1988." (App. 6a.)

The court below concluded that "principles of comity and federalism" supported its view that petitioners are not "entitled to assert federally created remedies under §§ 1983 and 1988 in this state court action." (App. 6a.) The court reasoned that the policies of the Tax Injunction Act, 28 U.S.C. § 1341, which prohibits federal courts from enjoining state taxes where "a plain, speedy and efficient remedy may be had in the courts of such State," authorize state courts to refuse to provide federal remedies established by §§ 1983 and 1988 to litigants challenging state taxes in state courts. (App. 6a-9a.) The court also relied on a decision of the North Dakota Supreme Court in *State v. Quill*, 500 N.W.2d 196 (N.D. 1993), *cert. denied*, ___ U.S. ___, 114 S.Ct. 173 (1993) to the same effect.

The court also asserted that its decision was not contrary to this Court's decision in *Dennis v. Higgins*, because, it said, this Court in *Dennis* had not addressed the effect of the Tax Injunction Act on the availability of remedies under §§ 1983 and 1988 in state tax cases (although it noted that the dissenting opinion in *Dennis* had cited the Tax Injunction Act). (App. 7a.)

For similar reasons the court rejected petitioners' reliance on *Howlett v. Rose*, 496 U.S. 356 (1990). (App. 8a.)

Accordingly, the court reinstated its earlier judgment without change. (App. 11a.)⁹

REASONS FOR GRANTING THE WRIT

I. THE DECISION BELOW PRESENTS A RECURRING AND IMPORTANT ISSUE ON WHICH STATE SUPREME COURTS ARE SHARPLY DIVIDED

In the decision below the Oklahoma Supreme Court held that state courts need not accord litigants remedies established by federal statutes in cases where federal courts lack jurisdiction to provide such remedies. That decision presents very fundamental and far reaching questions regarding the obligations of state courts to enforce federal law under our constitutional system.

In the context of this case — whether state courts must enforce rights and remedies under 42 U.S.C. §§ 1983 and 1988 in cases challenging state taxes on federal grounds — the question is an extraordinarily important and recurring one. As this Court's reports alone reflect, cases challenging state taxes on federal grounds are legion, and claims for relief under §§ 1983 and 1988 may be presented in every such case. Inasmuch as federal courts are precluded by the Tax Injunction Act, 28 U.S.C. § 1341, from providing injunctive or declaratory relief from state taxes that contravene federal constitutional or statutory requirements "where a plain, speedy and efficient remedy may be had in the courts of such state," the effect of the decision

⁹ The court also held that petitioners' claim of entitlement to attorneys' fees under the state law common fund doctrine was barred by its earlier opinion and the law of the case doctrine (App. 10-11a), even though its earlier opinion had never addressed petitioners' entitlement to fees and expenses under the common fund doctrine.

below would be to nullify, in all such cases, the remedies that Congress established in §§ 1983 and 1988, including, perhaps most significantly, the recovery of attorneys' fees under § 1988.

Such a result would take away the ability of many persons effectively to enforce their federal rights under the Commerce Clause or other constitutional or statutory provisions when they are violated by state taxes. When Congress enacted § 1988 in 1976, it recognized that the ability of plaintiffs to recover litigation costs and attorneys' fees is often essential to the effective protection of their constitutional rights. In *Maine v. Thiboutot*, 448 U.S. 1, 11 (1980), this Court noted that "Congress viewed the fees authorized by § 1988 as 'an integral part of the remedies necessary to obtain' compliance with § 1983." (citation omitted). See also *Smith v. Robinson*, 468 U.S. 992, 1006 (1984).¹⁰

Furthermore, Congress enacted § 1988 in recognition of the fact that parties who bring suit under § 1983 and prevail are typically seeking to redress not only their own injuries but also to vindicate important civil and constitutional rights of many other people and the public at large. See *City of Riverside v. Rivera*, 477 U.S. 561, 574 (1986). As the House Report accompanying § 1988 noted, a person who obtains injunctive relief under § 1983 "does so not for himself alone but also as a 'private attorney general,' vindicating a policy that Congress considered

¹⁰ This Court's decisions make clear that plaintiffs who would be entitled to relief under § 1983 are also entitled to recover their attorneys' fees unless there are special circumstances that would make such a recovery unjust. *Smith v. Robinson*, 468 U.S. at 1006. They also establish that plaintiffs may bring actions under § 1983 for injunctive and declaratory relief against state officials acting in their official capacities (*Will v. Michigan Department of State Police*, 491 U.S. 58, 71, n. 10 (1989)) and that the obligation of the states or agencies whom those officials represent to pay attorneys' fees is not subject to defenses of sovereign immunity or good faith execution of the challenged state law or practice. *Hutto v. Finney*, 437 U.S. 678 (1978); *Kentucky v. Graham*, 473 U.S. 159, 164-167 (1985).

of the highest importance." H.R. Rep. No. 94-1558, p. 2 (1976) (quoting *Newman v. Piggie Park Enterprises, Inc.*, 390 U.S. 400, 402 (1968)).

Section 1988 is no less important in vindicating the public and national interests in the free flow of interstate commerce, and the policies underlying § 1988 are fully applicable to Commerce Clause tax cases like this one. In many cases, including this one, a state tax that violates the Commerce Clause or other federal constitutional or statutory strictures will impose a cost on persons and companies that is substantially less, in the case of even the largest companies, than the expense of bringing a lawsuit to challenge it. If, as the court below held in this case, attorneys' fees are not recoverable under state law, the prospect of recovering litigation and attorneys' fees under § 1988 may be the only practical means of bringing suit to invalidate and enjoin the tax.¹¹

Accordingly, whether the Oklahoma Supreme Court correctly held that the remedies Congress established in §§ 1983 and 1988 are not available in cases challenging state taxes would be an important question warranting this Court's review even if there were no conflict on that issue among the courts of the states. State courts, however, are sharply divided on that issue.

In the decision below, the court cited and relied on decisions of the North Dakota Supreme Court in *State v. Quill, supra*, the Connecticut Supreme Court in *Ziska v. Water Pollution Control Authority*, 195 Conn. 682, 490 A.2d 509 (1985),

¹¹ In some case, of course, associations of taxpayers or other victims of unconstitutional state action may fund litigation challenging unconstitutional state taxes. In other cases, there may not be associations with sufficient resources to do so. In the case of NPTC's litigation against retaliatory taxes, NPTC and its predecessor were able to undertake that effort only because its attorneys were willing to do so on a contingent fee basis. Even where associations or individuals fund litigation themselves, moreover, Congress enacted § 1988 in order to impose those expenses on the party whose unconstitutional acts gave rise to the expenses rather than on the victims of those acts or their representatives.

the Georgia Supreme Court in *Backus v. Civilis*, 236 Ga. 500, 224 S.E.2d 370 (1976), and an Illinois appellate court in *Raschke v. Blancher*, 141 Ill. App.3d 813, 96 Ill. Dec. 711, 491 N.E. 1171, (Ill. App. 1986). (App. 6a-9a.). See also *Spencer v. South Carolina Tax Commission*, 281 S.C. 492, 316 S.E.2d 386 (S.C. 1984), *aff'd by an equally divided court*, 471 U.S. 82 (1985).

As the court below also acknowledged, a number of other state court decisions have upheld the rights of plaintiffs to challenge state taxing schemes under § 1983 in state court and to obtain relief under § 1988. These have included decisions of the Pennsylvania Supreme Court in *Murtagh v. County of Berks*, 634 A.2d 179 (Pa. 1993), *cert. denied*, ___ U.S. ___, 114 S.Ct. 1497 (1994); the Supreme Judicial Court of Massachusetts in *American Trucking Ass'ns v. Secretary of Admin.*, 415 Mass. 337, 613 N.E.2d 95 (1993); the Supreme Court of Tennessee in *Bloomington's by Mail v. Huddleston*, 848 S.W.2d 52 (Tenn. 1992); *cert. denied* ___ U.S. ___, 113 S.Ct. 3002 (1993); the Supreme Judicial Court of Maine in *American Trucking Ass'ns v. Secretary of State*, 595 A.2d 1014 (Me. 1991); the Supreme Court of Mississippi in *Burrell v. Mississippi State Tax Comm'n*, 536 So.2d 848, 863-64 (Miss. 1988); *Marx v. Truck Renting and Leasing Ass'n, Inc.*, 520 So.2d 1333 (Miss. 1987); and the Supreme Court of Colorado in *Riverton Produce Co. v. State*, 871 P.2d 1213 (Colo. 1994). See also *Pechiney Corp. v. Crystal*, 43 Conn. Supp. 91, 643 A.2d 319 (Conn. Super. 1994); *Rowan Companies, Inc. v. State Tax Comm'n*, 623 So.2d 159 (La. Ct. App. 1st Cir. 1993); *Radio Common Carriers of New York, Inc. v. State*, 601 N.Y.S.2d 513 (Sup. Ct. 1993); *Neiman Marcus Group, Inc. v. Meehan*, 1991 Conn. Super. LEXIS 2135 (1991); and *Bung's Bar and Grille, Inc. v. Township Council of Florence*, 206 N.J. Super., 432, 457-62, 502 A.2d 1198, 1213-16 (1985).

The conflict is clear and direct. In *Bloomington's By Mail*, for example, the Supreme Court of Tennessee held that

Tennessee's use tax violated the Commerce Clause to the extent it applied to out-of-state mail order companies, and it held that the plaintiffs were entitled to attorneys' fees under 42 U.S.C. § 1988. After reviewing this Court's decisions, the court concluded that "a state court that has subject matter jurisdiction may not deny a party to such proceeding its federal rights. . . . If the party enforcing such rights is successful, that party is entitled to receive an award of attorney's fees under 42 U.S.C. § 1988" 848 S.W.2d at 56.

Similarly, in *Murtagh v. County of Berks*, a case challenging tax assessment procedures under the Fourteenth Amendment, the Supreme Court of Pennsylvania squarely rejected the argument, adopted by the court below, that prohibitions imposed on federal courts by the Tax Injunction Act and principles of comity against enjoining state taxes justified *state* courts in refusing to enforce federal remedies. The court stated:

[T]he principle of comity that causes a federal court to refrain from exercising jurisdiction over section 1983 tax assessment cases has no relevance to a class action challenging, in state court, the constitutionality of a system of property tax assessment.

634 A.2d at 185. *See also, Pechiney Corp. v. Crystal*, 643 A.2d at 321. The other cited decisions reflect the same conclusions, implicitly or explicitly.

This conflict among the state courts, including many of the highest state courts, warrants this Court's review. The issue has arisen in many cases in recent years. It is likely to recur in almost every case challenging state taxes under the Commerce Clause or other federal constitutional and statutory provisions, and may also arise with respect to other state court actions seeking to enforce federal rights to which the rationale of the court below could be extended. This case presents the issue squarely and is an appropriate case in which to consider and resolve the issue.

II. THE DECISION BELOW CONFLICTS WITH *DENNIS V. HIGGINS* AND OTHER DECISIONS OF THIS COURT REQUIRING STATE COURTS TO ENFORCE FEDERAL RIGHTS

Contrary to the opinion of the Oklahoma Supreme Court, petitioners submit that its decision conflicts directly with this Court's decision in *Dennis v. Higgins*. In *Dennis*, as noted, the Court held that "the Supreme Court of Nebraska erred in holding that petitioner's Commerce Clause claim could not be brought under 42 U.S.C. § 1983." 498 U.S. at 451. In this case, the Supreme Court of Oklahoma held that petitioners' identical Commerce Clause claim could not be brought under § 1983.¹² That holding is as erroneous as was the Nebraska Supreme Court's in *Dennis*.¹³

The decision below is also contrary to *Howlett v. Rose*, 496 U.S. 356 (1990), in which this Court held that state courts could not refuse to entertain actions under § 1983 on the grounds of sovereign immunity. The Court reaffirmed the basic principle that "[f]ederal law is enforceable in state courts . . . because the Constitution and laws passed pursuant to it are as much laws in the States as laws passed by the state legislature." 496 U.S. at 367. The Court therefore held that Florida courts could not

¹² By holding that "plaintiffs are [not] entitled to assert federally created remedies under §§ 1983 and 1988 in this state court action" and that "plaintiffs are not entitled to relief under §§ 1983 and 1988" despite the undisputed violation of their Commerce Clause rights by the State (App. 6a), there can be no question but that the court below held that petitioners were not entitled to bring their Commerce Clause challenge under § 1983.

¹³ Nor is there any basis for the Oklahoma Supreme Court's suggestion that this Court did not consider "the effect of the Tax Injunction Act on the issue of whether the state court should grant § 1983 relief, although a federal court could not do so." (App. 7a.) Since, as that court itself noted, Justice Kennedy's dissent in *Dennis* specifically expressed concern about the effect of the Court's decision in view of the policies underlying the Tax Injunction Act, there is no basis for supposing that the majority of the Court did not consider it.

refuse to enforce claims under § 1983 unless they did so on the basis of neutral rules of court administration, such as *forum non conveniens* rules, that are applied equally to federal and state law causes of action. Because Florida courts entertain state-law actions against state defendants that are similar to Howlett's federal claim based on § 1983, the Court held that they could not deny his § 1983 claim.

Those principles apply fully in this case. Oklahoma courts entertain actions for injunctive and declaratory relief against unconstitutional state taxes, and in fact did so in this case. They cannot therefore deny claims for such relief based on certain federal statutes — namely, §§ 1983 and 1988.

Furthermore, as the Supreme Court of Pennsylvania and other courts have held, principles of comity and the Tax Injunction Act provide no support for the decision below. Those principles and that Act only limit the authority of *federal* courts to interfere with state tax processes. As Judge Blue of the Connecticut Superior Court recently stated:

These concerns of comity, however, in no way foreclose *state* courts from hearing § 1983 actions in conjunction with state tax appeals. Neither the letter nor spirit of [28 U.S.C.] § 1341 are violated by the existence of such state court jurisdiction. This jurisdiction, in fact, fully implements the policies of both § 1983 (i.e. the vindication of civil rights) and § 1341 (i.e. the noninterference of federal courts in state tax matters) in a way that federal jurisdiction does not.

Pechiney Corp. v. Crystal, 643 A.2d at 321.¹⁴ Indeed, because of the limitations the Eleventh Amendment and the Tax Injunction Act impose on federal courts in state tax matters, this Court observed in *Pennhurst State School and Hospital v. Halderman*,

¹⁴ Judge Blue also correctly observed that because federal courts are courts of limited jurisdiction and state courts are courts of general jurisdiction, "it is not at all anomalous for state courts to have jurisdiction over matters that federal courts cannot lawfully adjudicate." 643 A.2d at 321.

465 U.S. 89, 122 (1984) that “[c]hallenges to the validity of state tax systems under 42 U.S.C. § 1983 . . . must be brought in state court.”

The decision below cannot be reconciled with the foregoing decisions.

CONCLUSION

The petition for the writ of certiorari to the Supreme Court of Oklahoma should be granted.

Respectfully submitted,

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APPENDIX A
IN THE SUPREME COURT OF THE
STATE OF OKLAHOMA

No. 68,401

PRIVATE TRUCK COUNCIL OF AMERICA, INC.,
CIRCLE W TRANSPORTATION, INC.,
and ROY E. GRIFFIS,
on behalf of themselves and all others similarly situated,
Appellants,

v.

OKLAHOMA TAX COMMISSION, ET AL.,
Appellees,

and

ASSOCIATED MOTOR CARRIERS
OF OKLAHOMA, INC.,
Intervenor.

ON REMAND FROM THE UNITED STATES
SUPREME COURT

The United States Supreme Court vacated the judgment called for in our opinion in *Private Truck Council of America, Inc. et. al. v. Oklahoma Tax Commission, et. al.*, 806 P.2d 598 (Okla. 1991), and remanded the matter to this Court for further consideration in light of *Dennis v. Higgins*, 498 U.S. 439, 111 S.Ct. 865, 112 L.Ed.2d 969 (1991), where the court held, for the first time, that suits for unconstitutional violations of the Interstate Commerce Clause created a right of action under 42 U.S.C. § 1983. Although the right of action is created, we find that in Oklahoma an adequate state remedy exists for redress, as the trial court held. We hold that the trial court correctly dismissed plaintiffs' § 1983 claim. A federal court would have been

prohibited, under The Tax Injunction Act, 28 U.S.C. § 1341, from entertaining such a claim because "the district courts shall not enjoin, suspend or restrain the assessment, levy or collection of any tax under state law where a plain, speedy and efficient remedy may be had in the courts of such state." To allow § 1983 remedies in the courts of this state would give plaintiffs relief to which they would not have been entitled in federal court. Thus, under the principles of comity, we hold that state courts in Oklahoma may not enforce federally created rights, which federal law prohibits federal courts from enforcing.

JUDGMENT REINSTATED

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PER CURIUM,

This case is before us on remand from the United States Supreme Court. The judgment was vacated and the cause remanded for our consideration in light of *Dennis v. Higgins*, 498 U.S. 439, 111 S.Ct. 865, 112 L.Ed.2d 969 (1991). We held in our original opinion in this appeal, *Private Truck Council, Inc. v. Oklahoma Tax Commission*, 806 P.2d 598 (Okla. 1991), that

68 O.S.Supp.1982 § 607.1 and 47 O.S.Supp.1986 § 1120(K) were unconstitutional because they violated the fundamental requirement of nondiscrimination against interstate commerce.¹ Based upon that holding, we found it unnecessary to address plaintiffs' constitutional challenge of the tax statutes under the Privileges and Immunities Clause. We affirmed the trial court's denial of plaintiffs' federal claim for refund under 42 U.S.C. § 1983 because Oklahoma has an adequate state remedy affording the requested relief. We allowed a refund to plaintiffs based upon the refund procedures in 68 O.S. 1981 § 226.1, from the payment of the 1987 taxes, based upon *American Trucking Ass'ns., Inc. v. Scheiner*, 483 U.S. 266, 107 S.Ct. 2829, 97 L.Ed.2d 226 (1987), and *American Trucking Ass'ns., Inc. v. Smith*, 496 U.S. 167, 110 S.Ct. 2323, 110 L.Ed.2d 148 (1990).

The trial court denied plaintiffs' motion for summary judgment, finding that the two statutes did not violate the Interstate Commerce Clause, and dismissed Count III of plaintiffs' petition, which sought a refund under 42 U.S.C. § 1983, for failure to state a claim. Plaintiffs' Count III asserted that the defendants violated the Interstate Commerce Clause and the Privileges and Immunities clauses of the United States Constitution, as set out in Counts I and II of their petition, under color of state law, and threatened to deprive plaintiffs of rights guaranteed by the United States Constitution. Thus, plaintiffs alleged that defendants were liable to plaintiffs under 42 U.S.C. § 1983. Plaintiffs prayed for: 1) a declaratory judgment that the two statutes were null and void because they violated the United States Constitution and other laws, 2) a permanent injunction enjoining the Oklahoma Tax Commission from assessing or collecting the

¹ Plaintiffs, who are appellants here, filed suit against defendants for a refund of taxes imposed under 68 O.S.Supp. 1983 § 607.1 and 47 O.S.Supp. 1983 § 22.5j(K). These statutes imposed fees and taxes on nonresident motor carriers operating in Oklahoma to the same extent carriers resident in Oklahoma were taxed by the nonresident motor carriers' states of residence. Plaintiffs claimed that these statutes were unconstitutional.

retaliatory taxes and fees on nonresident motor carries under the above-referenced statutes, 3) a refund of all retaliatory taxes and fees collected by the Oklahoma Tax Commission pursuant to 68 O.S. 1981 § 607.1 and 47 O.S. Supp. 1986 § 1120(K), plus interest, and 4) attorneys' fees under 12 O.S. 1981 § 18(C) and 42 U.S.C. § 1988, and costs.

The trial court dismissed plaintiffs' claim for refund under 42 U.S.C. § 1983, relying on *Consolidated Freightways of Delaware v. Kassel*, 730 F.2d 1139 (8th Cir. 1984), in which the Eighth Circuit had held that violations of the Interstate Commerce Clause were not a basis for bringing a civil rights action under 42 U.S.C. § 1983. We affirmed the trial court's denial of plaintiffs' claim for refund under § 1983, because Oklahoma has an adequate state remedy affording the relief plaintiffs requested. We reversed the trial court's summary judgment to defendants on Counts I and II of plaintiffs' petition, finding that the two statutes violated the Interstate Commerce Clause. We denied the plaintiffs claim for attorneys' fees, however, because plaintiffs had no civil rights claim under § 1983 and, accordingly, no right to attorneys' fees under 42 U.S.C. § 1988. We also denied plaintiffs' claim for attorneys' fees under state law on the ground that the statute upon which plaintiffs relied, 12 O.S. 1981 § 18(C) was repealed before plaintiffs filed their action.

After our decision in the case at bar, the United States Supreme Court handed down the case of *Dennis v. Higgins*, 498 U.S. 439, 111 S.Ct. 865, 112 L.Ed.2d 969 (1991). In *Dennis*, the United States Supreme Court held, contrary to our earlier opinion in this matter, that claims for violations of the Interstate Commerce Clause *may be* brought under § 1983. In *Dennis* the trial court held that the Nebraska taxing statutes at issue violated the Interstate Commerce Clause, for essentially the same reasons that we held in our first opinion in the case at bar. The *Dennis* trial court permanently enjoined the Nebraska Depart-

ment of Motor Vehicles from assessing, levying or collecting the taxes and fees. The Nebraska trial court awarded the plaintiffs attorneys' fees and expenses under the "common fund" doctrine, but denied the § 1983 claims under *Kassel*. Both sides appealed, although the unconstitutionality of the taxing statutes was not appealed. The Supreme Court of Nebraska affirmed the dismissal of plaintiffs' § 1983 claim, but reversed the allowance of attorneys' fees under the common fund doctrine. The Nebraska Supreme Court held, despite § 1983's broad language, that there was no cause of action under § 1983 for violation of the Commerce Clause. As in *Dennis*, the trial court in the case at bar ruled that plaintiffs failed to state a claim under § 1983.

In *Dennis v. Higgins*, Id., the United States Supreme Court decided that the Commerce Clause creates rights that can be asserted under 42 U.S.C. § 1983 because the Commerce Clause confers rights, privileges or immunities within the meaning of § 1983. Thus, suits for violation of the Commerce Clause may be brought under § 1983 to obtain injunctive and declaratory relief from state action that violates the Commerce Clause. We directed the parties to file supplemental briefs addressing the affect of *Dennis* on plaintiffs' claims.

Here, plaintiffs sought declaratory and injunctive relief, a refund of taxes paid, and an attorneys' fee, under both state law, and § 1983. In our first opinion we held the two taxing statutes unconstitutional and granted plaintiffs a partial refund. It is clear to us that the United States Supreme Court vacated our opinion because of our reliance on *Kassel*, which the Supreme Court repudiated in *Dennis*. *Dennis*, however, did not address the critical issue of whether a state court, under the principles of comity, should decline to grant relief under § 1983, a federal law, when a federal court would have been prohibited from granting such relief under The Tax Injunction Act, 28 U.S.C. § 1341.

I.

We now reconsider whether plaintiffs are entitled to assert federally created remedies under §§ 1983 and 1988 in this state court action. We hold, under the principles of comity and federalism, that plaintiffs are not entitled to relief under §§ 1983 and 1988.

We have not previously addressed this issue, but the Supreme Court of North Dakota recently considered it. *State v. Quill*, 500 N.W.2d 196 (N.D. 1993) Cert. Denied ___ U.S. ___, 114 S.Ct. 173 (1993), was virtually identical to the case at bar. There, as here, 1) the matter came before the court following reversal by the United States Supreme Court of an earlier opinion, which had erroneously held that a state tax act did not violate the Commerce Clause of the U.S. Constitution; 2) the taxpayers sought an attorneys' fee under § 1983 and § 1988; and 3) the parties did not dispute that state statutes provided the parties full relief from the unconstitutionality of the involved tax acts. The *Quill* court denied an attorneys' fee to Quill, on the ground of comity and federalism, because a federal court would have been prohibited from granting such relief under the Tax Injunction Act, 28 U.S.C. § 1341.² The *Quill* court concluded that, while § 1341 did not expressly prohibit state courts from granting federally created relief, state courts should decline to exercise such jurisdiction. Relying on its earlier opinion in *Linderkamp v. Bismark School District No. 1*, 397 N.W.2d 76 (N.D. 1986), the *Quill* court held that the taxpayer could not obtain § 1983 relief in the state court action.

We find the language of the North Dakota Supreme Court's *Linderkamp* opinion convincing:

Recognition that the proscriptions of the Tax Injunction Act are based at least in part upon deference to

² § 1341 directs:

The district courts shall not enjoin, suspend or restrain the assessment, levy or collection of any tax under state law where a plain, speedy and efficient remedy may be had in the courts of such state.

state remedial schemes leads to the conclusion that a state court §1983 action, *which applies a federal remedial statute for alleged violations of federally-created rights, is no less of a burden upon the state remedial scheme than would be a §1983 action brought in federal court....* [Emphasis added.] *Linderkamp*, 387 N.W.2d at 80.

Plaintiffs' contentions here, are virtually identical to those of the plaintiff in *Quill*. Plaintiffs contend that the *Quill-Linderkamp* rationale is contrary to the holdings of the U.S. Supreme Court in *Dennis*, and *Howlett v. Rose*, 496 U.S. 356, 110 S.Ct. 2430, 110 L.Ed.2d 332 (1990). We disagree. Neither *Dennis*, nor *Howlett*, addressed the issue of whether a state court should decline to impose federal remedies when state remedies are adequate and a federal court would, therefore, be prohibited from enforcing such remedies under the Tax Injunction Act.³

The *Dennis* court's majority did not address whether state remedies were adequate, or the effect of the Tax Injunction Act on the issue of whether the state court should grant § 1983 relief, although a federal court could not do so. Justice Kennedy's dissent in *Dennis*, in which the Chief Justice concurred, however, expressed concern that ignoring the Tax Injunction Act risks "destruction of state fiscal integrity in a manner which may require congressional correction." *Dennis*, 498 U.S. at 464-65, 111 S.Ct. at 880.

³ Because of the proscriptions of The Tax Injunction Act, the adequacy of the state remedy in this action complaining of a tax statute, must be measured by what is required by 14th Amendment due process, not by the remedies made available by the Congress in § 1983 actions. State law satisfied due process requirements by providing for a refund of the taxes the state wrongly exacted, interest on those amounts, and an injunction prohibiting the collection of such taxes in the future. No case we have found requires an attorneys' fees to be granted to satisfy due process requirements. Indeed, the Congress did not provide for an attorneys' fee in § 1983 actions until the 1976 amendment to § 1988 so provided. Pub.L. 94-559.

In *Howlett*, the U.S. Supreme Court held that the Supremacy Clause of the Constitution is "the supreme law of the land" and requires state courts to enforce federally created remedies "according to their regular modes of procedure." *Howlett*, 496 U.S. at 367, 110 S.Ct. at 2438. As noted in *Quill*, however, *Howlett* makes clear that "the Supremacy Clause precludes state courts from applying state procedural rules *that would necessarily produce a different result than if the case had been brought in federal court.*" [Emphasis added.] *Quill*, 500 N.W.2d at 199. Our holding today, applying the *Quill-Linderkamp* rationale, is perfectly consistent with the federal interest, and this State's interest, in having state courts apply the law no differently than would federal courts. Clearly, state courts are not required to grant attorneys' fees under §§ 1983 and 1988, when federal courts would be prohibited from doing so.

Plaintiffs argue, correctly, that The Tax Injunction Act applies only to federal courts. Plaintiffs, however, fail to recognize that one of the principles of comity is that potential differences in remedies available in state court and federal court should be avoided. The existence of such differences encourages forum shopping. As the U.S. Supreme Court observed in *Felder v. Casey*, 487 U.S. 131, 108 S.Ct. 2302, 101 L.Ed.2d 123 (1988), "A law that predictably alters the outcome of § 1983 claims depending solely on whether they are brought in state or federal court within the same State is obviously inconsistent with this federal interest in intrastate uniformity." To order an attorneys' fee under § 1988 here, would pervert this wise policy of intrastate uniformity between state and federal courts.

In addition to North Dakota, at least three other states have declined to impose § 1983 remedies in cases in which a federal court could not have also granted such remedies: *Ziska v. Water Pollution Control Authority*, 195 Conn. 682, 490 A.2d 509 (Conn. 1985); *Backus v. Chilivis*, 236 Ga. 500, 224 S.E.2d 370 (Ga. 1976); *Raschke v. Blancher*, 141 Ill.App.3d 813, 491

N.E.2d 1171, 96 Ill.Dec. 711 (Ill.App. 1986) appeal denied (1986). Although there is authority contrary to the views expressed in the cases from these four states, we believe that these cases represent the better view.⁴ We have found no case, which granted § 1983 relief in these circumstances, which satisfactorily explains to us why a state court should do so.

An important distinction exists between a state court's *jurisdiction*, and the principles of *comity*. In *State Tax Commission v. Fondren*, 387 So.2d 712, 723 (Miss. 1981), the Mississippi Supreme Court held that a state court hearing a § 1983 claim lacked *jurisdiction* to grant more relief than a federal court could have done. The Connecticut Supreme Court, in *Ziska*, rejected the *Fondren* court's analysis, saying, "we believe that the better view is that § 1341 [The Tax Injunction Act] does not deprive state courts of all jurisdiction to hear § 1983 challenges to state taxes. *Section 1341 is rooted in principles of federalism. It reflects the policy that federal courts should not interfere with the collection of state taxes.*" [Emphasis added.] 490 A.2d at 513. The *Ziska* court declined to hear plaintiffs § 1983 claims under the principles of *comity* and federalism.

The Mississippi Supreme Court later observed, in *Burrell v. Mississippi, State Tax Commission*, 536 So.2d 848, 863-64, that it had implicitly overruled *Fondren* in *Marx v. Truck Renting and Leasing Ass'n., Inc.*, 520 So.2d 1333, 1346 (Miss.

⁴ A few state courts have applied § 1983 remedies, despite the adequacy of state law remedies, and the fact that a federal court would have been prohibited from granting such relief because of The Tax Injunction Act. See, for example, *Harlan Sprague Dawley, Inc. v. Indiana Dept. of State Revenue*, 583 N.E.2d 214 (Ind.Tax 1991) and *Murtaugh v. County of Berks*, 634 A.2d 179, cert. denied _ U.S. _, 114 S.Ct. 1497, 128 L.Ed.2d 71 (1994). The *Dawley* and *Murtaugh* courts justified allowing the plaintiffs to recover § 1983 remedies, "because there is no risk of federal court interference." Neither court discussed the likelihood of forum shopping created by allowing the parties relief in state court to which they would not have been entitled in federal court.

1987). In both opinions, the *Mississippi* court, as it had in *Fondren*, limited its discussions to the *jurisdiction* of state courts to hear § 1983 claims. Neither *Fondren*, nor the two later opinion discussed the comity and federalism issues.

Plaintiffs rely on an unpublished opinion of the Connecticut intermediate appellate court, *Neiman Marcus Group, Inc. v. Meehan*, 1991 WL 194298, LEXIS 2135 (Conn.Super. 1991), which concluded that *Ziska* could not be relied upon as authority to support the state's claim that Connecticut courts lacked *jurisdiction* to consider § 1983 claims. As in the later Mississippi opinions, the comity and federalism issues were not considered by the *Neiman Marcus* court. Our analysis convinces us that if the Connecticut Supreme Court were again presented with the issues of comity and federalism, which it decided in *Ziska*, it would again conclude, as the North Dakota court did in *Quill* and *Linderkamp*, that the state court should not give relief that a federal court sitting in the same state could not give.⁵

We hold that the trial court reached the right result in declining to grant an attorneys' fee under §§ 1983 and 1988.

II.

Plaintiffs claim that they are entitled to an attorneys' fee under state law. They contend that they should be granted a fee from the amount of the recovery under the "common fund doctrine." Plaintiffs made identical claims in the first appeal of this case. The facts concerning this issue are unchanged from the first appeal. Consequently, our conclusion in the first appeal

⁵ The *Neiman Marcus* court relied on the U.S. Supreme Court's opinions in *Dennis* and *Felder* to support its position that *Ziska* was no longer good law. The comity and federalism issues were not before the U.S. Supreme Court in *Dennis*, and *Felder* points out that a policy allowing the choice of a federal or state forum, within the same state, to change the result of a § 1983 case, "is obviously inconsistent with this federal interest in intrastate uniformity." This desire for intrastate consistency is the basis for our opinion that we should not allow § 1983 remedies here.

that plaintiffs are not entitled to an attorneys' fees under state law is the law of the case. "As the 'law of the case,' the original appeal controls all subsequent proceedings, and will not be reversed on a second appeal, [unless not to do so would] result in a gross or manifest injustice" *McDonald v. Humphries*, 810 P.2d 1262, 1266-67 (Okla. 1990); *Handy v. City of Lawton*, 835 P.2d 870, 873 (Okla. 1992). We find no error in our prior opinion on this issue. We are satisfied that our refusal to revisit the issue will not result in a "gross or manifest injustice". *McDonald*, 810 P.2d at 1267. Consequently, we decline to reconsider the issue.

Although the reasons for so doing have changed, our directions to the trial court upon remand following the first appeal remain in effect.

JUDGMENT REINSTATED

HODGES, C.J., LAVENDER, V.C.J., SIMMS, HARGRAVE,
WATT, JJ., concur.

KAUGER, SUMMERS, JJ., concur in part, dissent in part.
OPALA, WILSON, JJ., dissent.

IN THE SUPREME COURT OF THE
STATE OF OKLAHOMA

No.68,401

PRIVATE TRUCK COUNCIL OF AMERICA, INC.,
CIRCLE W TRANSPORTATION, and ROY E. GRIFFIS,
on behalf of themselves and all others similarly situated,
Appellants,

v.

OKLAHOMA TAX COMMISSION, ET AL.,
Appellees,

and

ASSOCIATED MOTOR CARRIERS OF OKLAHOMA. INC
Intervenor.

ALMA WILSON, J., with whom OPALA, J., joins, dissent-
ing:

Today's opinion closes the state courts to a taxpayer's § 1983 action, which may have the effect of opening the federal courts to state tax challenges. *Dennis v. Higgins*. 498 U.S. 439, 111 S.Ct. 865, 112 L.Ed.2d 969 (1991) requires a substantive remedy be afforded taxpayers aggrieved by state laws that violate the Commerce Clause. The Tax Injunction Act, 28 U.S.C. § 1341 requires the state to provide minimum procedural protection to taxpayers. The majority fails to recognize the distinction. Accordingly I must respectfully dissent, even though I would, as the Court does today, affirm the district court's dismissal of the § 1983 claim in this cause.

In *Private Truck Council of America. Inc. v. Oklahoma Tax Commission*, 806 P.2d 598 (Okla. 1991), this Court reversed the district court, holding that 68 O.S.Supp.1982 § 607.1 and 47 O.S.Supp. 1986, § 1120(K) violate the Commerce Clause, U. S. Const., Art. I, § 8, cl. 3, and allowing partial refunds of taxes

paid thereunder, but affirmed the district court's dismissal of the § 1983 claim. On certiorari, the United States Supreme Court ordered "that the judgment of the above court in this cause is vacated with costs, and that this cause is remanded to the Supreme Court of Oklahoma for further consideration in light of *Dennis v. Higgins*, 498 U.S. (1991)." *Dennis v. Higgins* holds that the Commerce Clause confers rights, privileges and immunities upon state taxpayers within the meaning of § 1983. The *Dennis* holding rests upon the Commerce Clause restriction on state power combined with the Due Process Clause entitlement to relief. Hence, *Dennis* allows a taxpayer to seek meaningful relief in a § 1983 action in state court where the state remedy does not provide meaningful relief from the exaction of taxes in violation of the Commerce Clause.

Similar to the instant cause, *Dennis* was a class-action suit by an Ohio motor carrier in the state court of Nebraska seeking declaratory and injunctive relief and recovery of state taxes paid pursuant to Nebraska's retaliatory tax statute and costs and attorney fees. The Nebraska trial court declared the challenged statute violative of the Commerce Clause, entered a permanent injunction, awarded attorney fees and costs under the common fund doctrine and dismissed the § 1983 claim. The dismissal of the § 1983 claim was challenged on appeal. Relying on *Consolidated Freightways Corp. of Delaware v. Kassel*, 730 F.2d 1139 (8th Cir. 1984), cert. denied, 469 U.S. 834 (1984), the Nebraska Supreme Court determined that Commerce Clause violations are not cognizable under § 1983 and affirmed the dismissal. The United States Supreme Court reversed and remanded for further proceedings, holding that a taxpayer has a right within the meaning of § 1983 to seek relief for Commerce Clause violations. The *Dennis* holding is grounded in the Commerce Clause and *McKesson Corp. v. Division of Alcoholic Beverages and Tobacco. Dept. of Business Regulation of Florida*, 496 U.S. 18 (1990):

. . . . The Commerce Clause "has long been recognized as a self-executing limitation on the power of the States to enact laws imposing substantial burdens on such commerce." *South-Central Timber Development, Inc. v. Wunnicke*, 467 U.S. 82, 87 (1984). In addition, individuals injured by state action may sue and obtain injunctive and declaratory relief. See, e.g., *McKesson Corp. v. Division of Alcoholic Beverages and Tobacco. Dept. of Business Regulation of Fla.*, 496 U.S. 18, 31 (1990). Indeed, the trial court in the case before us awarded such relief, and respondents do not contest that decision. We have also recently held that taxpayers who are required to pay taxes before challenging a state tax that is subsequently determined to violate the Commerce Clause are entitled to retrospective relief "that will cure any unconstitutional discrimination against interstate commerce during the contested period." *Id.*, at 51. *This combined restriction on state power and entitlement to relief under the Commerce Clause amounts to a "right, privilege, or immunity" under the ordinary meaning of those terms.* [Footnote omitted.]

[Emphasis added.]

Dennis v. Higgins, 498 U.S. at 447.

McKesson Corp. V. Division of Alcoholic Beverages & Taxation, 496 U.S. 18, 110 S.Ct. 2250, 110 L.Ed.2d 17 (1990) was initiated to challenge Florida's liquor tax as violative of the Commerce Clause because of its preferences for liquor made from crops which Florida is adapted to growing. A similar tax scheme had been struck down in *Bacchus Imports, Ltd. v. Dias*, 468 U.S. 263, 104 S.Ct. 3049, 82 L.Ed.2d 200 (1984). The Florida Supreme Court declared that the tax scheme violated the Commerce Clause and permanently enjoined its enforcement, but refused to order refund of the tax. The United State Supreme

Court addressed the question of whether prospective relief [declaratory and injunctive relief], by itself, exhausts the requirements of federal law where a state places a taxpayer under duress promptly to pay a tax when due and relegates him to a postpayment refund action in which he can challenge the tax's legality. Because the exaction of a tax constitutes deprivation of property, the unanimous *McKesson* Court determined that prospective relief alone was not sufficient to satisfy the commands of the Due Process Clause of the Fourteenth Amendment. Analyzing the states' constitutional obligation to provide procedural safeguards against the unlawful exaction of taxes, *McKesson* sets forth three general categories of relief that would be meaningful under the Due Process Clause: 1) a remedy to redress taxpayer grievances before payment; or 2) a remedy for refund of the unlawful part of the tax from those who were required to pay it; or 3) imposition of back taxes on those who were not required to pay the tax resulting in the discrimination. The *McKesson* Court left the selection and fine-tuning of the relief to be afforded a taxpayer to each state, as long as the relief is meaningful — cures, at least partially, the mischief that has been done.

... We have already noted that States have a legitimate interest in sound fiscal planning and that this interest is sufficiently weighty to allow States to withhold predeprivation relief for allegedly unlawful tax assessments, providing postdeprivation relief only. See *supra*, at 37. But even if a State chooses to provide partial refunds as a means of curing the unlawful discrimination (as opposed to increasing the tax assessment of those previously favored), the State's interest in financial stability does not justify a refusal to provide relief. As noted earlier, see *supra*, at 46, the State here does not and cannot claim that the Florida courts' invalidation of the Liquor Tax was a surprise, and even after the trial court found a Commerce

Clause violation the State failed to take reasonable precautions to reduce its ultimate exposure for the unconstitutional tax. And in the future, States may avail themselves of a variety of procedural protection against any disruptive effects of a tax scheme's invalidation, such as providing by statute that refunds will be available to only those taxpayers paying under protest, or enforcing relatively short statutes of limitation applicable to refund actions. See *supra*, at 45. Such procedural measures would sufficiently protect States' fiscal security when weighed against their obligation to provide meaningful relief for their unconstitutional taxation.

Respondents also observe that the State's choice of relief may entail various administrative costs (apart from the "cost" of any refund itself [Footnote omitted.]). Cf. *Matthews, supra*, at 348 ("[T]he Government's interest . . . in conserving scarce fiscal and administrative resources is a factor that must be weighed" when determining precise contours of process due). The State may, of course, consider such costs when choosing between the various avenues of relief open to it. Because the Florida Supreme Court did not recognize in its refund proceeding the State's obligation under the Due Process Clause to rectify the invalidity of its deprivation of petitioner's property, the court did not consider how any administrative costs might influence the selection and fine-tuning of the relief afforded petitioner. We leave this to the state court on remand.

McKesson. 496 U.S. at 50-51.

By its reliance on *McKesson* in finding that a Commerce Clause violation is within the meaning of § 1983, *Dennis* stands for the propositions that: 1) a state taxpayer is entitled to

meaningful relief from the payment of taxes which are subsequently determined to be violative of the Commerce Clause; and, 2) where the state remedies do not provide meaning relief, a state taxpayer may seek relief in state courts pursuant to 42 U.S.C. § 1983.¹ That is, I read *Dennis* as providing a § 1983 remedy to state taxpayers for Commerce Clause violations when, and only when, the state has failed to provide a remedy that affords meaning relief. Thus, rather than instruct our district courts to decline jurisdiction over a taxpayer's § 1983 claim, we should direct our district courts to entertain a taxpayer's § 1983 claim whenever in a case tendered to them the available state law remedies are found short of the "meaningful relief" requirement of the Due Process Clause.

Although the majority does not review the state remedies, its conclusion that the state law remedies available to the taxpayers herein are adequate is correct even under the "meaningful relief" requirement of the Due Process Clause as explained in *McKesson*. Oklahoma's predeprivation remedies afforded tax-

¹ In light of the following authorities, *Dennis v. Higgins* can only be read as affording a taxpayer the right to file suit for violations of the Commerce Clause in state court under § 1983. Federal Courts may not render declaratory judgments as to the constitutionality of state tax laws. *Great Lakes Dredge & Dock Co. v. Huffman*, 319 U.S. 293, 63 S.Ct. 1070, 87 L.Ed. 1407 (1943). Federal Courts may not grant damages relief in a § 1983 action challenging state tax law, if taxpayers have an adequate state remedy for protection of their federal right. 28 U.S.C. § 1341 and *Fair Assessment in Real Estate Association v. McNary*, 454 U.S. 100, 102 S.Ct. 177, 70 L.Ed.2d 271 (1981). Absent waiver by the state or a valid congressional override, the Eleventh Amendment bars damages actions against States and state officers in their official capacity in federal court. *Kentucky v. Graham*, 473 U.S. 159, 105 S.Ct. 3099, 87 L.Ed.2d 114 (1985). Federal law is part of the Law of the Land and enforceable in state court. *Howlett v. Rose*, 496 U.S. 356, 110 S.Ct. 2430, 110 L.Ed.2d 332 (1990). Claims pursuant to 42 U.S.C. § 1983 may be maintained in our district courts. *Martin v. Harrah Independent School District*, 543 P.2d 1370 (Okla. 1975) and *Willborn v. City of Tulsa*, 721 P.2d 803 (Okla. 1986).

payers are limited to situations where the authority of the assessing entity is challenged or where the tax has not become due and payable.² Oklahoma's postdeprivation administrative remedies with the right of appellate review are limited only by time restrictions, while the district court remedies are further limited.³

1. Where a taxpayer fails to report and pay or under-reports and under-pays, the Oklahoma Tax Commission may issue a proposed assessment and the taxpayer may seek an administrative hearing on the proposed assessment by way of a written protest before the payment of the tax. 68 O.S. 1991, § 221. However judicial review of the protest by appeal may not be had without payment of the proposed assessment under protest and, if the taxpayer prevails the taxes paid under protest will be refunded. 68 O.S.1991, § 225.

2. Where a taxpayer has voluntarily reported and paid taxes, the taxpayer may claim a refund of taxes paid within three years from the date of the claim alleging erroneous payment. 68 O.S.1991, § 227.⁴

² An Oklahoma taxpayer may not maintain an action to enjoin the collection of a tax. *Oklahoma Tax Commission v. Harris*, 191 Okla. 28, 126 P.2d 685 (1942). However, an Oklahoma taxpayer may maintain a declaratory judgment action to challenge the validity of a taxing statute on its face before the tax becomes due, *Oklahoma Tax Commission v. Smith*, 610 P.2d 794 (1980), or to challenge the authority of the assessing entity. *United Airlines, Inc. v. State Board of Equalization*. 789 P.2d 1305 (Okla. 1990).

³ Citation is to the 1991 codification of the statutes providing taxpayer remedies. Although these statutes may have been amended since this suit was instituted and since the 1991 codification, the substance of the taxpayer remedies have not changed. Also, the remedies outlined herein are not intended to be exhaustive. Each of the various tax codes contain additional remedies or restrictions peculiar to the tax. For instance, income tax refunds are authorized and limited by 68 O.S.1 991, § 2373. See, *Strelecki v. Oklahoma Tax Commission*, 872 P.2d 910 (Okla. 1993).

⁴ Taxpayers who did not protest the payment of a tax under a statute which is subsequently declared unconstitutional have a statutory right to

If the refund is denied at the division level, the taxpayer may seek an administrative hearing on the claim. 68 O.S.1991, §§ 227 and 228. Judicial review of the claim for refund by appeal may be had, and if the taxpayer prevails the taxes erroneously paid during the previous three years will be refunded. 68 O.S.1991, § 225.

3. Where a taxpayer voluntarily reports but pays the tax under protest, as the motor carriers did in this cause, the taxpayer may claim a refund and seek an administrative hearing on the challenge to the payment. 68 O.S.1991, § 207. Judicial review of the challenge by appeal may be had, and if the taxpayer prevails the taxes paid under protest will be refunded. 68 O.S.1991, § 225.

4. In addition to the administrative and judicial review provided in 68 O.S.1991, §§ 207, 221, 227 and 225, a taxpayer may seek review in the state district court. 68 O.S.1991, § 226.⁵ The state district court remedy is limited to challenges of taxes under federal law. 68 O.S.1991, § 226(C).⁶ If the challenged

recover taxes paid within the time limits prescribed. *Sun Oil Company v. Oklahoma Tax Commission*, 620 P.2d 896 (1981). The *Sun Oil* case involved refund of use taxes that were declared unconstitutional in an original action before this Court in *Phillips v. Oklahoma Tax Commission*, 577 P.2d 1278 (Okla. 1978).

⁵ Subsection (a) of Section 226, as amended by 1990 Okla. Sess. Laws, ch. 339, § 16, provides:

(a) In addition to the right to a protest of a proposed assessment as authorized by Section 221 of this title, a right of action is hereby created to afford a remedy to a taxpayer aggrieved by the provisions of this article or of any other state tax law, or who resists the collection of or enforcement of the rules and regulations of the Tax Commission relating to the collection of any state tax; however, such remedy shall be limited as prescribed by subsection (c) of this section.

⁶ The judicial remedy granted in § 226 is limited to cases which meet the statutory delineated criteria 1) an unlawful burden on interstate commerce, 2) violative of Acts of Congress or the United States Constitution, or 3) in

taxes have not been paid, the taxpayer must pay under protest within thirty days from the mailing of the assessment and give notice of intent to file suit. 68 O.S.1991, § 226(B).⁷ Similarly situated taxpayers may likewise pay the tax under protest and, upon request, enter into an agreement to be bound by the decision in another taxpayer suit, rather than file a separate suit. 68 O.S. 1991, § 226(D). If the taxpayer prevails the taxes paid under protest will be refunded. 68 O.S.1991, § 226(B).⁸

cases where jurisdiction is vested in any of the courts of the United States. *Cimarron Industries, Inc. v. Oklahoma Tax Commission*, 621 P.2d 539 (Okla. 1980), wherein we decided that the taxpayer failed to bring itself within § 226 and thus should have exhausted its administrative remedies. Subsequently in *Ladd Petroleum Corporation v. Oklahoma Tax Commission*, 767 P.2d 897 (Okla. 1989), this Court concluded that there is no requirement of exhaustion of administrative remedies under § 226. The dispositive issue in *Ladd* was whether the trial court erred in sustaining the Oklahoma Tax Commission's demurrer to the evidence on the basis that the taxpayer was not entitled to maintain an action under § 226 because it failed to present evidence of a violation of federal law. Allowing taxpayers to assert federal challenges in district court without the necessity of exhausting administrative remedies avoids needless litigation when the administrative agency has no authority to declare a tax statute void as contrary to federal law. *Dow Jones & Co. v. Oklahoma Tax Commission*, 787 P.2d 843, (Okla. 1990).

⁷ Pursuant to § 226, the payment of a proposed assessment under protest within thirty days is jurisdictional and may not be extended under the provisions of § 221 that allow an extension of time to file a protest and seek an administrative hearing. *Ladd Petroleum Corporation v. Oklahoma Tax Commission*, 619 P.2d 602 (Okla. 1980).

⁸ In *Stallings v. Oklahoma Tax Commission*, appeal No. 73,769, opinion promulgated on July 19, 1994, this Court ruled that § 226 provides a district court remedy to a taxpayer against whom the OTC has issued a proposed assessment. *Stallings* denied a § 226 action to the taxpayers who had overpaid taxes and claimed the presence of a federal constitutional infirmity by means of an unlawful exaction. The *Stallings* opinion could bring Oklahoma's postdeprivation remedies below the "meaningful relief" demanded by federal due process as to those taxpayers who self-assess an illegal exaction as required by the tax reporting and paying statutory provisions.

These postdeprivation taxpayer remedies allow the refund of taxes paid under protest and the refund of erroneous payment of taxes during the preceding three years. Where the tax is challenged under federal law, the district court remedy allows taxpayers to seek refund of the taxes paid under protest without the necessity of multiple suits. With these postdeprivation remedies, Oklahoma preserves its fiscal affairs from disruption except for the refund of taxes paid under protest or taxes paid voluntarily during the preceding three years. Where suit is filed in district court, Oklahoma has further protected its fiscal security by allowing a single suit for the determination of a violation of federal law thereby dispensing with the costs of multiple suits. These postdeprivation administrative and judicial remedies afforded taxpayers in Oklahoma fit neatly within the "meaningful relief" requirement of the Due Process Clause of the Fourteenth Amendment as pronounced in *McKesson*.

The district court denied the § 1983 claim herein, for failure to state a claim, and the attendant § 1988 attorney fees request. Because my review of extant jurisprudence convinces me that the state remedies which were affordable to these taxpayers in this case satisfy the "meaningful relief" standards, I would affirm the district courts dismissal of the § 1983 and § 1988 claims herein.

Even though I would reach the same result reached by the Court today, the flaw in the majority's rationale must be discussed. Following *State v. Quill*, 500 N.W.2d 196 (N.D. 1993), cert. denied 114 S.Ct. 173, the majority opinion holds that our state courts should decline to grant relief under § 1983 to a taxpayer aggrieved by a tax statute that violates the Commerce Clause because the federal courts are prohibited from granting such relief under 28 U.S.C. § 1341. Section 1341, the Tax Injunction Act of 1937, provides that the federal district courts "shall not enjoin, suspend or restrain the assessment, levy or collection of any tax under State law where a plain, speedy and

efficient remedy may be had in the courts of such State.” The federal Tax Injunction Act appears to defer to state remedies similarly to *McKesson*. But, neither the majority nor the *Quill* court recognize the procedural/substantive demarcation. The “plain, speedy and efficient” remedy in state court requirement in § 1341 is a procedural requirement. *Rosewell v. LaSalle National Bank*, 450 U.S. 503, 101 S.Ct. 1221, 67 L.Ed.2d 464 (1981). The “meaningful relief” requirement of the Due Process Clause as pronounced in *McKesson* is a substantive requirement. Oklahoma’s taxpayer remedies satisfy the minimum procedural requirements of § 1341. *Cities Service Gas Co. v. Oklahoma Tax Commission*, 656 F.2d 584 (10th Cir. 1981) cert. denied, 454 U.S. 1124, following *Rosewell*. However, it does not necessarily follow that those same remedies are meaningful under the Due Process Clause. Hence, *Quill* may be no more than a primrose path.

Quill is not virtually identical to this cause, as the majority says. North Dakota sought declaratory judgment in its state court that *Quill Corp.*, as an out-of-state entity doing substantial mail order business in the state, was required to collect, report and remit state use tax. *Quill Corp.* had refused to collect the North Dakota tax — that is, *Quill Corp.* had not been deprived of any property right except maybe for the cost of defending the declaratory judgment. *Quill Corp.* filed a counter claim alleging it was entitled to relief under § 1983. The North Dakota Supreme Court upheld the tax statute which imposed the collection duty on an out-of-state vendor, concluding that the statute is consistent with *National Geographic Society v. California Board of Equalization*, 430 U.S. 551, 97 S.Ct. 1386, 51 L.Ed.2d 631 (1977) and that *National Bellas Hess, Inc. v. Department of Revenue*, 386 U.S. 753, 87 S.Ct. 1389, 18 L.Ed.2d 505 (1967) is obsolete. *Quill Corp.*’s counterclaim was dismissed. On certiorari, the United States Supreme Court reversed the North Dakota Supreme Court, concluding that the statute violated the Commerce Clause, refused to overrule *National Bellas Hess* and

remanded the cause to the state for further proceedings. *Quill Corporation v. North Dakota*, ___ U.S. ___, 112 S.Ct. 1904, 119 L.Ed.2d 91 (1992). In *Quill*, the High Court does not mention the dismissal of § 1983 claim, nor did it remand in light of *Dennis v. Higgins*. The North Dakota Supreme Court was not concerned with a meaningful *McKesson* refund relief as is involved herein. Thus, *Quill* is readily distinguishable and should not be readily followed. Further, the *Quill* rationale does not fall within the guidelines set by the United State Supreme Court in *Howlett v. Rose*, 496 U.S. 356, 110 S.Ct. 2430, 110 L.Ed.2d 332 (1990), for state courts to decline jurisdiction over one category of § 1983 claims.

Predicating a §1983 taxpayer suit upon the inadequacy of the available state remedies is consistent with the aftermath of *Dennis*. The United States Supreme Court has said that “§ 1983 remains a generally and presumptively available remedy for claimed violations of federal law. *Dennis v. Higgins*, 498 U.S. 439, 443, 111 S.Ct. 865, 868, 112 L.Ed.2d 969 (1991).” *Livadas v. Bradshaw, California Labor Commissioner*. ___ U.S. ___ 114 S.Ct. 2068, 2083 (1994). Further, in *Heck v. Humphrey*, ___ U.S. ___, 62 USLW 4594 (decided June 24, 1994), the Court said that a § 1983 action would be denied a prisoner, unless and until the conviction or sentence is reversed, expunged, invalidated or impugned by the grant of habeas corpus.

APPENDIX B

**PRIVATE TRUCK COUNCIL OF AMERICA, INC.,
Circle W. Transportation, Inc.. and Roy E. Griffis, On
behalf of Themselves and all Others Similarly Situated,**
Appellants,

v.

OKLAHOMA TAX COMMISSION, et al.,
Appellees,

and

Associated Motor Carriers of Oklahoma, Inc.,
Intervenor.

No. 68401

Supreme Court of Oklahoma

June 28, 1990

As Amended March 5, 1991.

Appeal from the District Court of Oklahoma County; John M. Amick, Trial Judge.

Class action by and on behalf of non-resident motor carriers challenging the constitutionality of retaliatory/third-tier taxes imposed on non-Oklahoma residents operating foreign based motor carriers, pursuant to 47 O.S.1986 Supp. § 1120(K) and 68 O.S. 1982 Supp. § 607.1. District court upheld constitutionality of challenged taxes, denied appellant's motion for summary judgment, including declaratory and injunctive relief, tax payment refunds, costs and attorneys fees, and rendered final judgment for appellees.

REVERSED AND REMANDED FOR FURTHER PROCEEDINGS.

William B. Rogers & Associates, by William L. Rogers and Ronald C. Palmatary, Oklahoma City, and Zuckert, Scoutt, Rasenberger & Johnson, by Richard A. Allen and Andrew R. Plump, Washington, D.C., for appellants.

Oklahoma Tax Com'n by Joe Mark Elkouri and Stanley Johnston, and Office of the Atty. Gen., by Thomas L. Spencer, As Intervenor, Oklahoma City, for appellees.

Kimball, Wilson & Walker, by Thomas G. Ferguson, Jr., Oklahoma City, for intervenor.

DOOLIN, Justice.

Appellants Private Truck Council of America, Inc., Circle W. Transportation, and Roy E. Griffis, (Truckers)¹ have chal-

¹ Trucker, Private Truck Council of America, Inc., (PTCA), is a non-profit business association incorporated in 1939 under the laws of New York, with its principal place of business in Washington, D.C. PTCA is comprised of over 1,800 companies operating trucks and related equipment as private carriers. A large number of PTCA's member companies, operating in interstate commerce through Oklahoma, register their vehicles in states against which the Oklahoma Tax Commission retaliates under the authority contained in §§ 1120(k) and 607.1. PTCA's principal purpose is to protect and promote the interests of its members by a variety of activities, including disseminating information, undertaking educational activities, lobbying Congress and state legislatures on regulatory issues affecting private carriers, and engaging in litigation of this kind on behalf of its members. Trucker, Circle W, a subsidiary of Westinghouse Electric Corporation, provides transportation primarily for that company throughout the nation, with fifteen vehicles that are registered in Pennsylvania. Those vehicles paid Pennsylvania's annual \$36.00 per axle tax, and according were also subject to Oklahoma's corresponding retaliatory tax. In 1984, for example, Circle W, through Westinghouse, paid Oklahoma \$1,080.00 in mirror taxes.

Trucker, Roy E. Griffis and his wife, Freida Griffis, reside in Bearden, Arkansas, and began a trucking business in January 1984. The Griffises operate in several states, including Oklahoma. Their truck is registered in Arkansas, and accordingly they have paid Oklahoma's retaliatory tax of \$175.00 per year and its retaliatory fuel marker fee of \$10.00 per year.

lenged the constitutionality of 47 O.S. Supp. 1986 § 1120(K) and 68 O.S. Supp. 1982 § 607.1. The questioned statutes impose fees and taxes on out of state motor carriers, operating in Oklahoma, in the same manner and extent that Oklahoma based motor carriers are taxed in other states. The pivotal issue presented is whether 47 O.S. § 1120(K) and 68 O.S. § 607.1 discriminate on their face against interstate commerce and nonresident motor carriers in violation of both the Commerce Clause, U.S. Const., Art. I, § 8, cl. 3, and the Privileges and Immunities Clause, U.S. Const., Art. IV, § 2, cl. 1. Other issues before this Court are whether Truckers are entitled to reimbursement of litigation expenses and reasonable attorneys' fees, and whether Truckers are entitled to refunds, and if so, whether retroactive or prospective application is appropriate.

I. Factual Background

In its overall taxing scheme, the State of Oklahoma imposes several fees and taxes on all motor carriers operating within its borders. At the "first tier", the State imposes an annual registration fee, determined by the vehicle's total weight, for all trucks and related equipment operating in the State. 47 O.S. Supp. 1985 § 1101 et seq. As a participating member of the International Registration Plan (IRP), an apportioned interstate registration system, Oklahoma also shares its registration fees for Oklahoma based-motor carriers, engaged in interstate commerce, with other participating IRP States, wherein the motor carrier travels. 47 O.S. 1985 § 1120.

In return, Oklahoma receives a percentage of nonresident motor carrier's total registration fee which is determined by dividing the vehicle's actual mileage within Oklahoma by its overall total mileage for the preceding year. Thus, with respect to motor carriers engaged in interstate commerce, Oklahoma's total registration fees are determined by the vehicle's registration fee, and its percentage share of the vehicle's in-state mileage. 17 O.S. 1985 § 1120(B). No Oklahoma motor carrier is

required to pay more than one full registration fee, nor does the State impose registration fees against motor carriers based in non-IRP States. Although Oklahoma does not share its registration fees with non-IRP States, the appellee, Oklahoma Tax Commission, is "authorized and empowered to enter into and make reciprocal compacts and agreements" with non-IRP States. 47 O.S.1985 § 1123.

At the "second tier", the State also imposes a tax on all motor carriers, regardless of their state of registration, for the use of motor fuel within the State. Additionally, a number of special excise taxes are imposed on the use of diesel fuel. 68 O.S.1981 §§ 501 and 601 et seq.

Beyond the traditional registration fees and fuel taxes is a "third tier" tax. Such taxes are known as "mirror" or "retaliatory" taxes, and are also called "third structure" taxes. Third structure taxes are neither apportioned nor prorated, and examples include: ton-mile taxes, based on the truck's weight and miles driven in the taxing state; axle taxes, a flat charge based on the number of axles on each vehicle; annual fuel marker fees, and trip fees.

In the instant case, retaliatory taxes and fees are imposed solely on certain nonresident motor carriers whose vehicles are registered in states that impose third tier taxes on heavy trucks registered in Oklahoma.² The Oklahoma Legislature, by enact-

² Section 1120(K) provides in pertinent part: In addition to those taxes or fees imposed by sections 22.1 through 22.34 of this title, the same or substantially the same type or category of tax or fee may be imposed upon an out-of-state resident as is imposed upon residents of Oklahoma for the same or substantially similar use of a vehicle in such other state in the amount, or, approximate total amount, of any fee or tax, including property, motor fuel, excise, sale, use or milage tax required by the laws of such other state to be paid by a resident of this state making the same or similar use of a like vehicle in such state.

Section 607.1 provides in pertinent part:

In addition to those taxes or fees imposed by Articles 5, 6, and 7 of this title, the same or, substantially the same type or category of tax or fee may be

ing the "mirror" statutes in 1982, intended that registration and licensing fees, and motor fuel taxes "assessed against residents of other states operating similar vehicles in Oklahoma be comparably the same as the (fees and taxes) assessed against residents of Oklahoma operating a similar vehicle for a similar purpose in such other state." 47 O.S. § 1120 (K), and 68 O.S. § 607.1(D).

In 1983, the Oklahoma Tax Commission started imposing mirror fees and taxes against motor carriers with vehicles registered in 25 states.³ The retaliatory taxes and fees, varying in amount, are wholly dependent upon the vehicle's state of registration, because the taxing scheme mirrors the fees and taxes imposed by that state as a condition precedent to the use of that state's highways by Oklahoma based carriers.⁴ The revenues generated by these fees and taxes are distributed and used for the construction and maintenance of the highways and roads in the State of Oklahoma.

II. Procedural Background.

Truckers filed this class action, on behalf of themselves and all other persons similarly situated, on December 17, 1984. With respect to the Commerce Clause, Truckers keenly recognized

imposed upon an out-of-state resident as is imposed upon residents of Oklahoma for, the same or substantially similar use of a vehicle in such other state in the amount, or approximate total amount, of any fee or tax, including property, motor fuel, excise, sales, use or mileage tax required by the laws of such other state making the same or similar use of a like vehicle in such state.

³ These are Alabama, Arizona, Arkansas, Connecticut, Delaware, Florida, Georgia, Idaho, Kentucky, Louisiana, Maine, Maryland, Massachusetts, Mississippi, New Hampshire, New Jersey, New Mexico, New York, North Carolina, Nevada, Ohio, Oregon, Pennsylvania, Vermont, and West Virginia.

⁴ For example, because Arkansas imposed a nonapportioned flat-fee of \$175.00 per year against resident and nonresident motor carriers, Oklahoma retaliated by imposing the same fees against Arkansas registered carriers doing business in the state. *See Ark.Code Ann. tit. 27, § 27-35-205 (1983) (repealed 1987).*

that a State may require persons engaged in interstate commerce to pay their fair share of state taxes.⁵ However, Truckers argued that Oklahoma's retaliatory fees and taxes are a blatant and an egregious violation of the Commerce Clause, because they discriminate, on their face, against nonresident motor carriers. Truckers sought a declaratory judgment declaring Oklahoma's retaliatory statutes unconstitutional, and also requested a permanent injunction against collection of the challenged taxes, refunds of all taxes and fees paid by class members, and attorneys' fees and cost. After having its "class action" certified as such pursuant to 12 O.S. Supp.1987, § 2023(B)(1)(b) and (B)(2), Truckers moved for summary judgment.

The Tax Commission argued that Truckers' frontal attack upon the constitutionality of Oklahoma's statutes could not be determined without a "cost impact" analysis. Since Truckers failed to produce any factual evidence showing actual damages, measured in dollars and cents, resulting from the alleged discriminatory intent or effect of the statutes, the Tax Commission urged the district court to reject Truckers' claim of facial unconstitutionality.

While not representing any party in this case, the Oklahoma Attorney General and the Associated Motor Carriers of Oklahoma, Inc., were granted permission to intervene pursuant to 12 O.S.Supp. 1984, § 2024. Since the imposition of third structure taxes upon Oklahoma base-registered operators of motor carriers constitutes a barrier to conducting interstate business in that taxing state, both intervenors, and the Tax Commission, asked the trial court to uphold the constitutionality of the disputed statutes, because the Oklahoma Legislature further promoted interstate commerce by equalizing the third tier taxation burden.

Finding "no disputed material issues of fact," the district court denied Truckers' motion for summary judgment. The

⁵ *Maryland v. Louisiana*, 451 U.S. 725, 754, S.Ct. 2114, 2133, 68 L.Ed.2d 576 (1981).

court further upheld the constitutionality of both retaliatory statutes, and granted final judgment to the Tax Commission, as a matter of law. In its memorandum opinion, the district court expressly acknowledged that the Supreme Judicial Court of Maine had struck down Maine's reciprocal truck taxes as a violation of the Commerce Clause.⁶

Curiously, the district court also noted that the Maine Supreme Judicial Court had found unpersuasive, and "refused to accord any precedential value" to an earlier New Jersey trial court decision which upheld New Jersey's retaliatory truck tax.⁷ The Maine Court found that "any significance accorded the Supreme Court's 1974 summary disposition of *B & L Motor Freight* must yield to supervening 'doctrinal developments.'" See *Private Truck Council*, 503 A.2d, at 218 n. 7.

Nevertheless, our district court, relying on the United States Supreme Court's summary disposition of *B & L* to support its contention that "the matter was no longer open to question," concluded:

It would seem that the view taken by the New Jersey Court is better reasoned and more in accord with the views of the United States Supreme Court. It is the actual effect on interstate commerce that we must consider, not the form of the statute. It seems to me that the purpose of the reciprocal laws is to motivate all states to abandon excessive taxes on out-of-state truckers, and I am not willing to say that such laws are

⁶ *Private Truck Council v. Secretary of State*, 503 A.2d 214 (Me.1986), cert. denied 476 U.S. 1129, 106 S.Ct. 1997, 90 L.Ed.2d 677 (1986).

⁷ *B & L Motor Freight, Inc. v. Heymann*, 120 N.J.Super. 270, 293 A.2d 711 (Ch.Div.1972), affd mem., 125 N.J.Super. 372, 311 A.2d 184 (App. Div.1973), certif. denied, 64 N.J. 494, 317 A.2d 707 (1974), appeal dismissed, 419 U.S. 1042, 95 S.Ct. 613, 42 L.Ed.2d 636 (1974), reh'g denied, 420 U.S. 913, 95 S.Ct. 837, 42 L.Ed.2d 845 (1975). But see n. 11 infra and accompanying text.

either an undue burden on interstate commerce or that they violate the privileges and immunities clause.

Truckers appeal alleging that the district court erred in upholding the constitutionality of the challenged statutes. Truckers also contend that because the disputed statutes are facially unconstitutional, they are entitled to refunds of the fees and taxes collected and cost under the federal Civil Rights Act, 42 U.S.C. § 1983.

III. A United States Supreme Court Procedural Ruling is not a precedential decision.

Initially, we must address the Tax Commission and Intervenor's contention, apparently adopted by the court below, that the United States Supreme Court's summary dismissal of *B & L* is binding precedent on this Court, regardless of our approval or disapproval of the Commerce Clause analysis contained in the opinion. In brief, the Attorney General asserts that "*B & L Motor Freight* is now a decision of the United States Supreme Court," and that "if it is to be overturned only the United States Supreme Court may do so."

We disagree and reject these contentions, because they float in the sea of frivolity. The United States Supreme Court has made it "quite clear"⁸ that its

summary dismissals are, . . . , to be taken as rulings on the merits, . . . , in the sense that they rejected the 'specific challenges presented in the statement of jurisdiction' and left 'undisturbed the judgment appealed from.' *They do not, however, have the same*

⁸ *Washington v. Confederated Bands and Tribes*, 439 U.S. 463, 476 n. 20, 99 S.Ct. 740, 749 n. 20, 58 L.Ed.2d 740 (1979). In the same vein, we stated this limitation in *Turpen v. Okla. Corp. Comm'n*, 769 P.2d 1309, 1315 (Okla.1988): summary dispositions are a "source of authority for state courts, but the precedential weight of that summary disposition is confined to the narrowest possible grounds."

precedential value here as does an opinion of this Court after briefing and oral argument on the merits, A summary dismissal of an appeal represents no more than a view that the judgment appealed from was correct as to those federal questions raised and necessary to the decision. It does not, as we have continued to stress. . . , necessarily reflect our agreement with the opinion of the court whose judgment is appealed. It is not at all unusual for the Court to find it appropriate to give full consideration to a question that has been the subject of previous summary action. [Emphasis added] [Citations omitted].

Where the constitutionality of a state statute is questioned, summary actions by the Supreme Court of the United States, except for their persuasive value, have no final or binding effect on this Court. Nor can such summary actions be regarded as precedent in later cases presenting the precise question previously subjected to summary action.⁹ It is the prerogative of this Court to determine whether this State's statutes pass constitutional muster. As we previously stated, "[t]he interpretation of state legislation and the 'construction placed upon state statutes by our highest court is binding upon the United States Supreme Court.' "¹⁰

In the instant case, *B & L* is irrelevant, because the New Jersey Supreme Court has agreed with one of its lower courts in overruling *B & L*. In striking down New Jersey's third tier taxes and fees that state's Superior Court, Appellate Division, agreed with the Supreme Judicial Court of Maine's assessment and concluded:

While we entertain doubts about whether the discrimination question was decided in that case, we need not

⁹ *Id.*

¹⁰ *Ingram v. Oneok*, 775 P.2d 810, 813-14 (Okla. 1989), quoting *United States v. Home Federal S. & L. Ass'n of Tulsa*, 418 P.2d 319, 325 (Okla. 1966).

decide the issue because we are satisfied that in any event *B & L* must yield to supervening doctrinal development, ., which requires a different result.¹¹ [Emphasis added.]

The Attorney General's contention that since 1972 "no doctrinal developments have occurred which would affect this issue," is inconsistent with the cases cited in brief.¹² Despite the fact that the United States Supreme Court struck down Pennsylvania's marker fee and axle tax as impermissible under the Commerce Clause,¹³ the Attorney General, citing *Western and Southern Life Insurance Company v. State Board of Equalization*, 451 U.S. 648, 101 S.Ct. 2070, 68 L.Ed.2d 514 (1981) as precedent, asserts that this Court should uphold the constitutionality of the challenged statutes, because "Congress has clearly expressed its intent to allow the States the power to tax interstate motor carriers free from attacks under the Commerce Clause." 49 U.S.C. § 10521. Admittedly, state regulation and taxation of insurance companies are not subject to Commerce Clause limitations because Congress has exempted the insurance industry from Commerce Clause coverage.¹⁴ However, state taxation of motor carriers engaged in interstate commerce remains fully

¹¹ *Private Truck Council v. State*, 221 N.J.Super. 89, 534 A.2d 13 (1987), aff'd per curiam "For the reasons expressed in the opinion of the Appellate Division," 111 N.J. 214, 544 A.2d 33 (1988). The Superior Court of New Jersey also noted that our district court's opinion, which heavily relied upon *B & L* is the only decision "upholding a counterpart fee similar to New Jersey's." See *Private Truck Council*, supra, 534 A.2d, at 17 n. 4.

¹² See generally, *American Trucking Ass'ns, Inc. v. Gray*, 288 Ark. 488, 707 S.W.2d 759 (1986) (Upholding the constitutionality of Arkansas' Highway Use Equalization tax), vacated and remanded 483 U.S. 1014, 107 S.Ct. 3252, 97 L.Ed.2d 752 (1987), rev'd on remand as a violation of the Commerce Clause, 295 Ark. 43, 746 S.W.2d 377 (1988).

¹³ See *American Trucking Ass'ns v. Scheiner*, 483 U.S. 266, 107 S.Ct. 2829, 97 L.Ed.2d 226 (1987).

¹⁴ See McCarren-Ferguson Act, 15 U.S.C. § 1011, et seq.

subject to the strictures of the Commerce Clause. The Supremacy Clause, U.S. Const., Art. VI, cl. 2, and the Attorney General's recognition of *Scheiner*, supra note 13, fully supports our conclusion.

IV. The questioned statutes are plainly discriminatory.

The Commerce Clause is the origin of Congressional authority "To regulate Commerce ... among the several States, and with the Indian Tribes."¹⁵ More important for the purposes of this appeal, the Clause also implicitly limits the State's power to discriminate against interstate commerce.¹⁶ The fundamental "purpose of the Commerce Clause was to create an area of free trade among the several States."¹⁷ The essential tenet of the Commerce Clause is that no State may practice economic protectionism by imposing "a tax which discriminates against interstate commerce . . . by providing a direct commercial advantage to local business."¹⁸ In its continuous task of defining the limits of the Commerce Clause on State power, the Supreme Court has observed:¹⁹

¹⁵ U.S. Const., Art. 1, § 8, cl. 3.

¹⁶ *H.P. Hood & Sons, Inc. v. Dumond* 336 U.S. 525, 532-533, 69 S.Ct. 657, 662, 93 L.Ed. 865 (1949); *Hughes v. Oklahoma* 441 U.S. 322, 326, 99 S.Ct. 1727, 1731, 60 L.Ed.2d 250 (1979). "[E]ven in the absence of a congressional exercise of this power, the Commerce Clause 'prevents the States from erecting barriers to the free flow of interstate commerce.'" *American Trucking Ass'n, Inc. v. Larson*, 683 F.2d 787, 790 (3d Cir.) [quoting *Raymond Motor Transportation, Inc. v. Rice*, 434 U.S. 429, 440, 98 S.Ct. 787, 793, 54 L.Ed.2d 664 (1978)], cert. denied, 459 U.S. 1036, 103 S.Ct. 448, 74 L.Ed.2d 603 (1982).

¹⁷ *McLeod v. J.E. Dilworth Co.*, 322 U.S. 327, 330, 64 S.Ct. 1023, 1026, 88 L.Ed. 1304 (1944).

¹⁸ *Northwestern States Portland Cement Co. v. State of Minnesota*, 358 U.S. 450, 458, 79 S.Ct. 357, 362, 3 L.Ed.2d 421 (1959); *Bacchus Imports, Ltd v. Dias*, 468 U.S. 263, 268, 104 S.Ct. 3049, 3052, 82 L.Ed.2d 200 (1984).

¹⁹ See *Boston Stock Exchange v. State Tax Comm'n*, 429 U.S. 318, 329, 97 S.Ct. 599, 607, 50 L.Ed.2d 514 (1977), quoting *Dean Milk Co. v. Madison*, 340 U.S. 349, 71 S.Ct. 295, 95 L.Ed. 329 (1951).

The prohibition against discriminatory treatment of interstate commerce follows inexorably from the basic purpose of the Clause. Permitting the individual States to enact laws that favor local enterprises at the expense of out-of-state businesses "would invite a multiplication of preferential trade areas destructive" of the free trade which the Clause protects.

As the district court aptly noted, the Supreme Court of the United States has set forth a four-prong test for determining the validity of state statutes affecting interstate commerce: a state tax will pass constitutional muster only if (1) the activity being taxed has a substantial nexus with the taxing state, (2) is fairly apportioned, (3) does not discriminate against interstate commerce, and (4) is fairly related to services provided by the state.²⁰ Although the district court restated the preceding four-part test in its opinion, it did not scrutinize the challenged statutes under all four parts of the test. It is apparent that the district court erred in denying Truckers' constitutional attack.

Obviously, as asserted by Truckers, Oklahoma's retaliatory statutes do not pass the third and fourth prongs. Both statutes impose excessive fees and taxes on out-of-state registered motor carriers that are not imposed on Oklahoma registered motor carriers. "[A] state tax that favors in-state business over out-of-state business for no other reason than the location of its business is prohibited by the Commerce Clause."²¹

Appellees' contention that the mirror taxes and fees are fairly related to the services provided by the state, that is, the

²⁰ *Complete Auto Transit, Inc. v. Brady*, 430 U.S. 274, 279, 97 S.Ct. 1076, 1079, 51 L.Ed.2d 326 (1977). See also, *Maryland v. Louisiana*, 451 U.S., at 754, 101 S.Ct., at 2133.

²¹ *Scheiner*, 483 U.S., at 286, 107 S.Ct., at 2841. See also, *American Trucking Ass'ns, Inc. v. Conway*, 146 Vt. 574, 508 A.2d 405 (1986), cert. denied 483 U.S. 1020, 107 S.Ct. 3262, 97 L.Ed.2d 761 (1987); *Department of Revenue v. Private Truck Council of America, Inc.*, 531 So.2d 367 (Fla.App. 1 Dist.1988).

cost of construction and maintenance of Oklahoma's highway system, is unavailing. All motor carriers, having paid one state's registration fee, are free to travel all the roads in that jurisdiction, and are entitled to freely operate in the interstate market by making commercial entrances into all the States.²² Appellees' argument must fail because they confuse a tax on the privilege of using this State's highways with a tax on the privilege of engaging in interstate commerce. "[T]he Commerce Clause prohibits a State from imposing a heavier tax burden on out-of-state businesses that compete in an interstate market than it imposes on its own residents who also engage in commerce among States."²³ In considering the state's entire scheme of taxation, we note that Oklahoma does not impose any complementary or offsetting taxes on comparable intrastate motor carriers engaged in interstate commerce.²⁴ Neither the Tax Commission nor Intervenor have shown that such a compensatory tax exists in Oklahoma. Finding no equality of treatment between local in-state and out-of-state interstate commerce carriers, we must conclude that the ultimate effect of the statutes are not compensatory in nature, because they favor intrastate business interest.²⁵ Next, we reject the Tax Commission's adverse dollars and cents "cost-impact" argument. In the present

²² *Scheiner*, 483 U.S., at 283, 107 S.Ct., at 2840. See also, *Private Truck Council of America*, 517 A2d. at 1154.

²³ *Scheiner*, 483 U.S., at 282, 107 S.Ct., at 2839. Oklahoma's mirror taxes are indistinguishable from Pennsylvania's unapportioned flat tax. Consequently, the challenged taxes also fail to pass the "internal consistency test" imposed in *Scheiner* 483 U.S., at 284, 107 S.Ct., at 2840: "To pass the internal consistency test, a state tax must be of the kind that, 'if applied by every jurisdiction there would be no impermissible interference with free trade.' (Citation omitted.) If each State imposed flat taxes for the privilege of making commercial entrances into its territory, there is no conceivable doubt that commerce among the States would be deterred."

²⁴ See *Maryland v. Louisiana*, 451 U.S., at 75658, 101 S.Ct., at 2134-135.

²⁵ *Id.*, at 758-59, 101 S.Ct., at 2135.

case, no record establishing the economic burden of the challenged taxes on out-of-state carriers is required. The Supreme Court of New Hampshire, invalidating a similar New Hampshire tax, ²⁶ observed that:

A factual record delineating the greater burden on out-of-state vehicles is necessary only if the statute does not discriminate on its face.... Knowledge of the amount of discrimination imposed by a statute is not necessary to decide that it discriminates. ***'We need not know how unequal the the tax is before concluding that it unconstitutionally discriminates.'*** [emphasis ours].

We also find that the legislative purpose in enacting the challenged statutes and the district court's conclusion that such defensive measures are justified by their purpose runs afoul of the "very purpose of the Commerce Clause [in] creat[ing] an area of free trade among the several States." ²⁷ Appellees' contention that the Legislature enabled the state's taxing scheme to cancel the discriminatory effect that other state taxes impose on Oklahoma based carriers is unpersuasive. Discrimination cannot be corrected by retaliatory discrimination.²⁸ Retaliatory legislation, designed to motivate a sister State to cease its alleged unconstitutional tax burden on interstate commerce, has no legitimate State purpose and is a wholly unacceptable legislative remedy.²⁹ The appropriate remedy for another state's unconsti-

²⁶ *Private Truck Council of America v. State*, 128 N.H. 466, 517 A.2d 1150, 1153-154 (1986), quoting *Maryland v. Louisiana*, 451 U.S., at 760, 101 S.Ct., at 2136. See also, *Armco, Inc. v. Hardesty*, 467 U.S. 638, 644, 104 S.Ct. 2620, 2623, 81 L.Ed.2d 540, reh'g denied 469 U.S. 912, 105 S.Ct. 285, 83 L.Ed.2d 222 (1984).

²⁷ *McLeod supra*, n. 17.

²⁸ See *Travis v. Yale & Towne Mfg. Co.*, 252 U.S. 60, 40 S.Ct. 228, 64 L.Ed. 460 (1920).

²⁹ *Great Atlantic Pacific Tea Co. v. Cottrell*, 424 U.S. 366, 96 S.Ct. 923, 47 L.Ed.2d 55 (1976); *New Energy Co. v. Limbach*, 486 U.S. 269, 108 S.Ct. 1803, 100 L.Ed.2d 302 (1988); *Private Truck Council*, 534 A.2d, at 17.

tutional burden on interstate commerce in an action under the Commerce Clause itself.³⁰

Truckers' challenge to the constitutionality of 47 O.S. § 1120(K) and 68 O.S. § 607.1 under the Commerce Clause must be upheld, and in that respect, we reverse the district court. We hold that both statutes violate the fundamental requirement of nondiscrimination against interstate commerce. There is no equality of treatment, because Oklahoma does not impose any compensatory tax on domestic carriers engaged in intrastate or interstate commerce. In light of our disposition of Truckers' discrimination claim, we find it unnecessary to fully address their constitutional challenge under the Privileges and Immunities Clause.³¹

V. Truckers are entitled to a partial refund.

We now turn to the principal thrust of Truckers' appeal of the district court's opinion denying Truckers' request for re-

³⁰ *A & P Tea Co.*, 424 U.S. at 379-80, 96 S.Ct., at 931-32. "A state may not violate the Commerce Clause in an attempt through self-help to coerce another state into desisting from a commerce Clause violation." *Private Truck Council* 503 A.2d, at 218. See also *Private Truck Council of America* 517 A.2d, at 1154.

³¹ In this class action, Truckers stand in the shoes of all non-Oklahoma businesses operating in interstate commerce as private motor carriers. However, in its corporate capacity, Truckers are not natural persons nor "citizens of each state ... entitled to all Privileges and Immunities of Citizens of the several States." U.S. Const. art. IV, § 2, cl. 1. corporations are not entitled under article 4. § 2, Const. U.S., to all privileges and immunities of citizens in the several states. "*Nelson v. Deming Inv. Co.*, 21 Okl. 610, 614, 96 P. 742, 743 (1908), citing *Lafayette Ins. Co. v. French*, 59 U.S. (18 How.) 404, 15 L.Ed. 451 (1856), and *Paul v. Virginia*, 75 U.S. 8 Wall. 168, 181, 19 L.Ed. 357 (1869). See also *Western & Southern Life Ins. Co.*, 451 U.S., at 656, 101 S.Ct., at 2076-77. Consequently, we hold Truckers are not entitled to protection under the Privileges and Immunities Clause. While quite novel and innovative, we also reject Truckers' argument to create, here on appeal, a sub-class consisting only of the Griffises, so this court may address the Privileges and Immunities Clause claim of all other non-corporate members of this class action. Only a district court may certify a sub-class action. See 12 O.S.1985

funds of all taxes previously paid pursuant to the challenged statutes. Truckers assert that they are entitled to a refund of all retaliatory taxes and fees pursuant to 42 U.S.C. § 1983. Nearly \$12,000,000.00 was collected under the statutes from April, 1983 through October, 1987. We affirm the district court's denial of Truckers' federal claim for refunds under § 1983. Oklahoma has an adequate State remedy affording the requested relief.

The Commission argues that Truckers' requested relief is contrary to Oklahoma law. The Commission contends that Oklahoma law requires Truckers to pay the taxes under protest, and then file suit to recover the taxes so paid under this alleged misinterpretation of law.³² The Commission seems to argue that a class action for refunds may not be brought in Oklahoma, for it asserts that Truckers' monetary relief, if any, is limited to a refund of taxes paid in 1984, and then only to the named motor carriers. The Commission desires this court to limit recovery to Circle W. Transportation and Roy E. Griffis in the amount of \$1,265.00. Finally the Commission argues that the only other relief available to Truckers' class is a declaratory judgment as to the constitutionality of the statutes.

In our view, the Commission's argument totally misconceives the specific statutory provision authorizing an action for declaratory and injunctive relief, including abatement of the challenged taxes, and a refund. 68 O.S.1981, § 226. This special tax refund statute, § 226(a), reads in part: "In addition to the right to a protest . . . , a right of action is hereby created to afford a remedy to a taxpayer aggrieved by the provisions of this article or of any other state tax law." This all-in-one legal remedy is

supp. § 2023(C)(4) [When appropriate: (a) an action may be brought or maintained as a class action with respect to particular issues, or (b) a class may be divided into subclasses and each subclass treated as a class]. See also *Shores v. First City Bank Corp.*, 689 P.2d 299, 301 (Okla.1984).

³² *Sun Oil Co. v. Okla. Tax Comm'n*, 620 P.2d 896 (Okla.1980).

further limited to cases "where the taxes complained of are 1) an unlawful burden on interstate commerce, 2) violative of Acts of Congress or the United States Constitution, or 3) in cases where jurisdiction is vested in any of the courts of the United States."³³ Truckers satisfied the first statutorily delineated criterion. Furthermore, Truckers gave proper notice on December 14, 1984, as required by § 226(b), and "service of process upon the Chairman of the Tax Commission" was properly made as mandated by § 226(c). The legal avenues for bringing an action under § 226(c) are not expressly limited, there is no requirement that a taxpayer seek and exhaust administrative remedies. However, there is a requirement that a taxpayer must pay the taxes under protest or at the time of payment give notice of an intent to file a lawsuit.³⁴ Truckers complied with the proscribed statutory method mandated by the legislature.

The Commission's argument also implicitly challenges the standing of Private Truck Council of America (PTCA), because PTCA is not itself an aggrieved taxpayer, and has suffered no concrete injury resulting from the challenged statutes. This contention is without merit. As we noted at the outset, PTCA is a voluntary business association, with 1,800 companies as members. *See n. 1 supra*. PTCA's associational standing to prosecute this action as the representative of its constituents is clear under

³³ *Cimarron Industries, Inc. v. Okla. Tax Comm'n*, 621 P.2d 539, 542 (Okla.1980).

³⁴ Section 226 (d) provides:

Upon request of any taxpayer and upon proper showing that the principle of law involved in the assessment of any tax is already pending before the courts for judicial determination, the taxpayer, upon agreement to abide by the decision of the court, may pay the tax so assessed under protest, but need not file a suit.

However § 226(d) is inapplicable to the instant cause inasmuch as it is a certified class action. Neither appellee nor intervenors have argued "that the trial court abused its discretion in certifying this class action." *Shores v. First City Bank*, 689 P.2d. at 301.

prior decisions of the United States Supreme Court.³⁵ The Supreme Court of the United States "has recognized that an association may have standing to assert the claims of its members even where it has suffered no injury from the challenged activity."³⁶ In determining whether an association has standing, the United States Supreme Court has:

recognized that an association has standing to bring suit on behalf of its members when: (a) its members would otherwise have standing to sue in their own right; (b) the interests it seeks to protect are germane to the organization's purpose; and (c) neither the claim asserted nor the relief requested requires the participation of individual members in the Lawsuit.³⁷

With respect to Truckers' claim for declaratory and injunctive relief, we have no doubt that PTCA satisfies the above criteria. In its petition, PTCA alleged that many of its members are subject to the challenged taxes since its members have vehicles registered in states against which Oklahoma retaliates; thus, PTCA's members would have standing in their own right to assert a justiciable case. The interests that PTCA seeks to protect are definitely germane to the 51 year old association's purpose. Finally, PTCA's Commerce Clause claim, request for declaratory and injunctive relief, and refunds does not require individualized proof of such claim, inasmuch as such financial

³⁵ *NAACP v. Alabama*, 357 U.S. 449, 78 S.Ct. 1163, 2 LEd.2d 1488 (1958); *National Motor Freight Assn v. United States*, 372 U.S. 246, 83 S.Ct. 688, 9 LEd.2d 709 (1963); *Sierra Club v. Morton*, 405 U.S. 727, 92 S.Ct. 1361, 31 LEd.2d 636 (1972); *Hunt v. Washington State Apple Advertising Comm'n*, 432 U.S. 333, 97 S.Ct. 2434, 53 L.Ed.2d 383 (1977). *see, e.g., n. 44 infra*. This court has also recognized the standing of an association to seek relief on behalf of its members: *Democratic Party of Oklahoma v. Estep*, 652 P.2d 271 (Okla.1982); *Oklahoma Ass'n of Municipal Attorneys v. State*, 577 P.2d 1310 (Okla. 1978).

³⁶ *Hunt*, 432 U.S., at 342, 97 S.Ct., at 2441.

³⁷ *Hunt*, 432 U.S., at 343, 97 S.Ct., at 2441

information is readily available from the records of the Commission.

Consequently, we must determine the question as to whether our ruling is to operate (1) retroactively from the time the taxes were first collected in 1983, (2) quasi-prospectively from the date of the *Scheiner* decision, or (3) prospectively. In *Griggs v. State et rel. Okla. Dept. of Trans.*,³⁸ we observed that:

Retroactive operation of an overruling decision is neither required nor prohibited by the United States Constitution. Judicial policy determines whether, and to what extent, a new rule will operate retroactively. In *Chevron Oil Co v. Huson*, [404 U.S. 97, 92 S.Ct. 349, 30 L.Ed.2d 296 (1971)], the United States Supreme Court isolated three factors for ascertaining when retroactivity of a new pronouncement should be restricted: (1) at the threshold, the decision must establish a new principle of law, either by overruling clear past precedent on which litigants may have relied, or on an issue of first impression whose decision is not clearly foreshadowed; (2) the court must weigh the merits and demerits of applying the rule retroactively by considering the rule's prior history, its purpose and effect, and whether retroactivity will further or retard its operation; and (3) the court must consider the inequity flowing from retroactive application, including unfairness and hardship to the parties.

The Attorney General argues that if the tax statutes are declared unconstitutional, this court should make its decision prospective only and award no refunds. In analyzing Trucker's claim for retroactive application, the Attorney General relies heavily upon *First McAlester Corporation v. Okla. Tax*

³⁸ 702 P.2d 1017, 1020 (Okla.1985).

Comm'n,³⁹ and applies the three-prong test enunciated in *Chevron Oil Co* to the instant case. The Attorney General concludes that a prospective remedy would be sufficient relief, because Truckers are freed from paying the taxes, and a retroactive judgment would be fiscally disruptive to the State of Oklahoma. Because tax statutes are strictly construed against the state,⁴⁰ the Attorney General has not met the state's burden of presenting the required equitable predicate for this court to adopt a rule of pure prospectivity in this exceptional case.⁴¹

We are not at all persuaded by the Attorney General's argument, for it is bottomed on the ill-fated premise concerning the binding effect of the United States Supreme Court's summary dismissal of *B & L*, which we rejected in Part III *supra*. *B & L* was not adopted by the Supreme Court, nor did it establish a new binding principle of law so as to constitute a clear change in Commerce Clause jurisprudence as established by previous Supreme Court decisions. Even if this court substituted a more plausible alternative for *B & L*, i.e., the *Scheiner* opinion, in our view, that decision does not represent a clear break with past Commerce Clause precedent.

Although it is true that the Supreme Court did not overrule any clear past precedent in *Scheiner*, we observe that such a requirement is non-sequitur under the approach articulated in *Chevron*.⁴² It is our belief that the Supreme Court in *Scheiner* did decide an *issue of first impression* by declaring the revenue implementation methodology employed by Pennsylvania's unapportioned flat tax unconstitutional. But, we must also recognize that the Supreme Court implicitly concluded that its

³⁹ 709 P.2d 1026 (Okla. 1985).

⁴⁰ *Oklahoma Tax Comm'n v. McAfee*, 461 P.2d 602, 605 (Okla. 1969).

⁴¹ *Cash v. Califano*, 621 F.2d 626, 629 (4th Cir. 1980).

⁴² See *Gosa v. Mayden*, 413 U.S. 665, 673, 93 S.Ct. 2926, 2932, 37 L.Ed.2d 873 (1973).

resolution of *Scheiner* was foreshadowed by a long line of precedent invalidating unapportioned flat taxes.⁴³ We also observe that previous state court decisions may have foreshadowed the *Scheiner* pronouncement.⁴⁴ Thus, the state of Oklahoma can not argue that it was surprised by the results reached in *Scheiner*. Nevertheless, for the purposes of this case, we hold that *Scheiner* did establish a new constitutional principle.

The Supreme Court's pronouncement was 'new' in the sense that it decisively impeded a tax revenue practice accepted and relied upon by a number of states. Although *Scheiner* did not expressly overrule Oklahoma's retaliatory tax statutes, we cannot ignore the fact that the Supreme Court denounced the purpose and effect of the statutes in question.⁴⁵ Given the explicitness of the *Scheiner* pronouncement, we find it difficult to conceive and justify any continued good faith reliance upon the constitutionality of the laws after the *Scheiner* opinion. Notwithstanding the state's limited reliance interest under the threshold *Chevron* factor, we believe that *Scheiner*'s newly established constitutional principle can not, without resulting in manifest injustice and inequity, be applied under a pure prospective approach.

⁴³ *Scheiner*, 483 U.S., at 280-87, 107 S.Ct., 2838-842.

⁴⁴ *Private Truck Council v. Secretary of State*, 503 A.2d 214 (Me.1986), cert. denied 476 U.S. 1129, 106 S.Ct. 1997, 90 L.Ed.2d 677 (1986); *American Trucking Assn, Inc. v. Conway*, 146 Vt. 574, 508 A.2d 405 (1986), cert. denied 483 U.S. 1020, 107 S.Ct. 3262, 97 L.Ed.2d 761 (1987); *Private Truck Council v. State*, 128 N.H. 466, 517 A.2d 1150 (1986). See also *Commonwealth of Kentucky, Transportation Cabinet v. American Trucking Ass'ns, Inc.*, 746 S.W.2d 65 (Ky.1988); *American Trucking Ass'ns, Inc. v. Goldstein*, 312 Md. 583, 541 A.2d 955 (1988); *Black Beauty Trucking, Inc. v. Indiana Dept. of State Revenue*, 527 N.E.2d 1163 (Ind.Tax 1988); *Owner Operators Independent Drivers Ass'n of America v. State*, 209 Conn. 679, 553 A.2d 1104 (1989); *American Trucking Ass'ns, Inc. v. Conway*, 566 A.2d 1335 (Vt. 1989).

⁴⁵ "Such taxes can obviously divide and disrupt the market for interstate transportation services. In practical effect, . . . , the taxes are plainly discriminatory." *Scheiner*, 483 U.S., at 285-86, 107 S.Ct., at 2841.

The next factor of the *Chevron* standard is whether retroactive operation will further or retard the purpose of the Commerce Clause. The central "purpose of the Commerce Clause was to create an area of free trade among the several States."⁴⁶ As a practical matter, retroactive application would not necessarily advance the further development of Commerce Clause jurisprudence, because interstate commerce must pay its fair share of tax burdens for the governmental services it enjoys.⁴⁷ Furthermore, the Oklahoma Legislature has significant interest in exacting from interstate commerce its fair share of the cost of state government."⁴⁸ However, unlike the situation presented in *First McAlester*, the Commission has not informed this court that it ceased collecting the taxes after the *Scheiner* opinion. Truckers have paid and are paying more than their proportionate share of the tax burden imposed on those non-residents engaged in interstate commerce. Furthermore, in light of the *Scheiner* decision, no appellee has conceded that the disputed statutes are unconstitutional, nor has the Oklahoma legislature repealed the state tax law. We will not retard the implementation of the *Scheiner* decision. Under these circumstances, the purpose criteria tip towards retroactive application of *Scheiner*.

Considering the inequities presented, if this court afforded complete retroactive application, and ordered refunds with interest as provided by § 226(b), obviously, we would impose a significant financial hardship upon the State in exercising its governmental functions. This we decline. On the other hand, the fact remains that this court can not, consistent with constitutional limitations, retard the very purpose of the Commerce Clause by permitting the State to violate the Commerce Clause

⁴⁶ *McLeod*, supra, n. 17

⁴⁷ *Maryland v. Louisiana*, supra, n.5

⁴⁸ *Department of Revenue of the State of Washington v. Ass'n of Washington Stevedoring Co.*, 435 U.S. 734, 748, 98 S.Ct. 1388, 55 L.Ed.2d 682 (1978).

and reap the financial benefits under a discriminatory tax law. To allow this application of nonretroactivity would deter any taxpayer's incentive to challenge the tax laws, and in the instant case, deny Truckers the benefit of the ruling in *Scheiner*. Furthermore, this state's statutory refund provision would have no effect other than providing an illusory and empty victory. We can not allow the Commission to retain all funds collected after *Scheiner*. In light of the presumption of prospective application of state court decisions invalidating tax statutes,⁴⁹ and after a careful balance of the three *Chevron* factors, coupled with a showing of inequity on both parties in this exceptional case, we hold that Truckers are entitled to a partial refund pursuant to § 226. Truckers claim for refunds before June 23, 1987, the effective date of the *Scheiner* opinion, are denied.

Truckers also contend that they are entitled to attorneys fees as provided under 12 O.S.1981 § 18(C) and 42 U.S.C. § 1988, including the costs of this action. Subsequent to Truckers' present action, the Oklahoma Legislature repealed § 18(C), with the adoption of this State's Pleading Code, 12 O.S.Supp.1984, § 2001 et seq. Truckers can not recover attorneys fees under a statute not applicable at the time they instituted this action, because they had no rights accrued thereunder.⁵⁰ Nor may Truckers recover attorneys fees under § 1988 for the adjudicated Commerce Clause violation.⁵¹

The judgment of the district court is REVERSED. On their face both §§ 1120(K) and 607.1 violate the fundamental require-

⁴⁹ *National Can Corp. v. State of Washington Dept. of Revenue*, 109 Wash.2d 878, 749 P.2d 1286, 1292-93 (1988).

⁵⁰ Okla. const., Art. 5, § 54 See also *Gayman v. Mullen*, 58 Okla. 477, 161 P. 1051 (1916).

⁵¹ *Consolidated Freightways Corp. of Delaware v. Kassel*, 730 F.2d 1139 (8th Cir.1984); *Private Truck Council of America, Inc.*, 503 A.2d 214; *Private Truck Council of America, Inc. v. State of New Hampshire*, 128 N.H. 466. sl7 A.2d 1150 (1986); *State v. Private Truck Council of America, Inc.*, 258 Ga 531, 371 S.E.2d 378 (1988).

ment for non-discrimination against interstate commerce. Pursuant to § 226(b) the Oklahoma Tax Commission shall determine what amount of refund is due for tax periods or portions of tax periods occurring after June 23, 1987.⁵² In the case of those taxes and fees reported and paid on the quarterly basis, for quarterly periods commencing July 1, 1987, and thereafter, together with interest. The refund shall be paid in the manner and from the accounts as provided by 68 O.S.Supp.1989, § 225(d). This cause is REMANDED to the District Court for a final determination of interest as provided by statute, calculated from the dates set forth in this paragraph, entry of judgment as to that amount, including notification to all class members as determined by the tax rolls of the Commission, and further proceedings not inconsistent with the views expressed herein.

HARGRAVE, CJ., and SIMMS, KAUGER and SUMMERS. JJ.. concur.

OPALA, V.C.J., LAVENDER, J., concur in part; dissent in part.

HODGES, J., dissents.

⁵² The United States Supreme Court in *America Trucking Assn's v. Smith*, ___ U.S. ___, 110 S.Ct. 2323, 110 L.Ed. 2d 148 (1990), found that the critical event for prospectivity is not the payment of the money but the occurrence of the underlying transaction. It further found that it was more equitable to refund the taxes paid for the 1987-88 tax year because if states collect prior to 1987 for those taxes then the parties would not be allowed a refund.

APPENDIX C

IN THE DISTRICT COURT OF THE
SEVENTH JUDICIAL DISTRICT OF THE
STATE OF OKLAHOMA

PRIVATE TRUCK COUNCIL OF AMERICA, *et al.*,
Plaintiffs

vs.

STATE OF OKLAHOMA, *et al.*,
Defendants

ASSOCIATED MOTOR CARRIERS
OF OKLAHOMA, INC.,
Intervenor

MEMORANDUM OPINION

The plaintiffs, Private Truck Council of America, Inc., a nonprofit New York corporation, Circle W. Transportation, a Delaware corporation, and Roy E. Griffis, an unincorporated motor carrier registered in Arkansas, contend that Oklahoma Statutes 68 O.S.A. § 607.1 and 47 O.S.A. § 22.5 j (k) (now 47 O.S.A. § 1120 (K)) are unconstitutional as to them and the members of the class they represent, and they ask for declaratory and injunctive relief, for a refund of all taxes collected under these statutes and for attorneys fees.

In Count I of the petition, plaintiffs contend that these taxes are in violation of the Commerce Clause (Article I, Section 8, Clause 3 of the United States Constitution); in Count II they assert that these taxes violated the Privileges and Immunities Clause (Article IV, Section 2).

In Count III of their petition, plaintiffs seek damages under 42 U.S.C. § 1983 for violation of their constitutional rights, and for attorneys' fees under 42 U.S.C. § 1988.

The statutes under attack impose taxes called "mirror" or retaliatory taxes and they are sometimes called "third structure" or "third tier" taxes. The effect of these statutes is to tax motor carriers which operate in Oklahoma but are base-registered in another State in the same manner and to the same extent that Oklahoma based carriers are taxed in that other State.

The plaintiffs have moved for summary judgment in their favor on the ground that there is no issue of material fact in issue, and that they are entitled to judgment as a matter of law.

I have previously held that Count III should be dismissed insofar as all corporate plaintiffs are concerned, for the reason that the privileges and immunities clause is not applicable to corporations. *Western & Southern Life Ins. Co. v. State Bd. of Equalization of Calif.*, 451 U.S. 648, 101 S. Ct. 2070, 68 L. Ed 2d 514 (1981).

Defendants have moved to dismiss Count III on the ground that the commerce clause does not secure rights cognizable under 42 U.S.C. §1983. Though there is some authority arguable to the contrary, the most persuasive authority on this point, in my opinion is the case of *Consolidated Freightways Corp. of Del. v. Kassel*, 730 F.2d 1139 (3rd Cir. 1984). In that case it was squarely held that although the appellant was successful in its assertion that an Iowa statute was in violation of the Commerce Clause, this did not establish a deprivation of any right, privilege, or immunity secured by the United States Constitution within the meaning of 42 U.S.C. §1983. It follows that Count III should also be dismissed insofar as all corporate plaintiffs are concerned.

Thus, the questions left to be decided are (1) whether or not the taxes violate the Commerce Clause; (2) whether or not such taxes violate the Privileges and Immunities Clause insofar as the individual members of the Plaintiffs' class are concerned, and (3) If so, whether or not the individual plaintiffs are entitled to damages and attorney fees.

A tax analogous, in some respects, to the Oklahoma tax under attack here was a tax enacted by California against non-resident insurance companies. The constitutionality of that tax was considered in *Western*, *see supra*.

That case clearly held that such taxes are not a violation of the Equal Protection Clause of the 14th Amendment. It is not authority on the question of the validity of the tax under the Commerce Clause for the reason that Congress has given the State the power to regulate the insurance business; nor is it authority on the validity of the tax under the Privileges and Immunities Clause for the reason that the plaintiff in that case was a corporation, and that clause in inapplicable to corporations, *Western*, *supra* at 655.

The facet of that case which would seem to be helpful here is the view of the purpose and effect of such taxes taken by the court. Justice Brennan, in writing the opinion of the Court, quoted the California Court of Appeals in saying:

“[T]he purpose of the retaliatory tax is to put pressure on the several states to impose the same tax burden on all insurance companies, foreign or domestic, and thereby encourage the doing of interstate business.”

and at page 672:

“But whether in fact the provision will accomplish its objectives is not the question: The Equal Protection Clause is satisfied if we conclude that the California legislature rationally could have believed that the retaliatory tax would promote its objective.”

The Court concluded that it could not say that the California legislature's conclusion was irrational or even unreasonable.

The parameters of decision under the Commerce Clause are set forth in *Complete Auto Transitt, Inc. v. Brady*, 430 U.S. 274, 97 S.Ct. 1076, 51 L.Ed. 326 (1977). It was there held that the practical effect, not the formal language of the tax statute

should be considered by the courts, and that the tax should be sustained if:

1. It has a substantial nexus with the Taxing State;
2. It is fairly apportioned;
3. It does not discriminate against interstate commerce; and
4. It is fairly related to the services provided by the State.

In that case the appellant, a Michigan corporation, hauled automobiles which came by rail to Jackson, Mississippi to other points within the State. These automobiles had been shipped into Mississippi from assembly plants outside the State. The tax was five percent of the gross income of the business within the State. This tax was upheld as meeting all four of the criteria.

In *Maryland v. Louisiana*, 451 U.S. 725, 101 S.Ct. 2114, 68 L.Ed. 576 (1981), a so-called "first use" tax imposed by the State of Louisiana on natural gas coming from the Outer Continental Shelf and passing through Louisiana to other States was held to violate the Commerce Clause since residents of Louisiana were largely immune from this tax. The Court said that this tax provided direct commercial advantage to local business. The Supreme Judicial Court of Maine has recently considered the question of the validity of a law in that State which imposed a reciprocal or retaliatory tax, and concluded that such a tax is a constitutionally impermissible burden on interstate commerce. *Private Truck Council of America, Inc. et al. v. Secretary of State*, 503 A.2d 214 (1986). In that case, the Maine Court simply held that the taxing statute was facially discriminatory because it levies a tax on certain foreign registered trucks which it does not levy against Maine-registered trucks. The Maine Court refused to accord any precedential value to a New Jersey case upholding such a tax. In that case the Supreme Court dismissed the appeal for want of a federal question. Three members of the Supreme Court would have noted probable jurisdiction and set the case for oral argument. *B & L Motor Freight, Inc. v.*

Heymann, 293 A.2d 711, *aff'd without opin.*, 311 A.2d 184, *cert. denied*, 317 A.2d 707 (N.J. 1974), *app'l dislm'd*, 419 U.S. 1042 (1974).

The opinion of the New Jersey Court was in a lower court, which very clearly and explicitly discussed the commerce clause at length, and concluded that the New Jersey statute did not violate the commerce clause.

The Maine Court consigned the action of the United States Supreme Court to a footnote, stating that such a summary disposition may mean only that the issues were not there refined with sufficient clarity, precision and certainty desirable before the Supreme Court undertakes review.

What would seem more probable since the United States Supreme Court has in the past upheld these reciprocal taxes was that the matter was no longer open to question. The New Jersey Court said *id.* at 715:

Reciprocal (not retaliatory) features of state laws imposing taxes on motor vehicles came before the court in *Bode v. Barrett*, 344 U.S. 583, 73 S.Ct. 468, 97 L.Ed. 567 (1953) and in *Storaasli v. Minnesota*, 283 U.S. 57, 51 S.Ct. 354, 75 L.Ed. 839 (1931). In *Bode* the appellants were motor truck operators engaged in interstate as well as intrastate commerce. They attacked the constitutionality of an Illinois law imposing a tax for the use of that state's highways and measuring the tax exclusively by the gross weight of the vehicle. The law was held valid and among the arguments rejected by the court was this: That the statute should be held unconstitutional because it required Illinois residents to pay the tax and at the same time exempted non-residents if the states of their residence reciprocated by granting like exemptions to Illinois residents. *Storassli* was cited as controlling.

and further, *id.* at 716:

State legislation which has the effect of regulating interstate commerce is sometimes valid, sometimes invalid. If the regulation takes the form of a reciprocal (retaliatory) statute, the use of that form will not make unconstitutional a state requirement which would otherwise be valid for a foreign corporation engaged in interstate commerce. This view of existing law is supported by *In re Insurance Tax Cases.*, 160 Kan. 300, 161 P.2d 726 (1945), *aff'd* without opinion *Prudential Ins. Co. of America v. Hobbs*, 328 U.S. 822, 66 S.Ct. 1360, 90 L.Ed. 1602 (1946). That decision followed the general rule and sustained insurance laws having a retaliatory feature.

It would seem that the view taken by the New Jersey Court is better reasoned and more in accord with the views of the United States Supreme Court.

It is the actual effect on interstate commerce that we must consider, not the form of the statute. It seems to me that the purpose of the reciprocal laws is to motivate all states to abandon excessive taxes on out-of-state truckers, and I am not willing to say that such laws are either an undue burden on interstate commerce or that they violate the privileges and immunities clause.

It is therefore the order and judgment of this court that the plaintiffs motion for summary judgment be overruled.

APPENDIX D

IN THE DISTRICT COURT OF OKLAHOMA COUNTY
STATE OF OKLAHOMA

NO. CJ- 84-9902

PRIVATE TRUCK COUNCIL OF AMERICA INC., *et al.*,
Plaintiffs,

STATE OF OKLAHOMA, *et al.*,
Defendants.

ORDER DENYING MOTION FOR PRELIMINARY
INJUNCTION AND ALTERNATIVE MOTION
FOR ESCROW OF TAXES

[Filed Apr. 1, 1985]

This matter comes on for hearing in its regular order on the 29th day of January, 1985, upon plaintiffs' motions for a preliminary injunction prohibiting the defendants, during the pendency of this action, from assessing or collecting taxes and fees on motor carriers, pursuant to 68 O.S. Supp. 1982, § 607.1 and 47 O.S. Supp. 1982, § 22.5 (K); or, in the alternative, for a temporary order of this Court impounding all funds collected thereunder into an escrow account and prohibiting the defendants from disbursing the proceeds of any and all such taxes and fees collected pursuant to said statutes.

All parties appearing by counsel, and the Court, having heard the arguments of counsel, having read the pleadings, briefs, and memoranda of law filed in connection therewith, having examined the affidavits in support of said motions and the exhibits introduced, and being fully advised in the premises, the Court finds:

1. That plaintiffs have an adequate remedy at law;

2. That plaintiffs have failed to show that the denial of either of such motions will cause irreparable injury to plaintiffs; or that sufficient emergency exists to require the granting of either of such motions.

IT IS THEREFORE ORDERED that plaintiffs' motion for preliminary injunction and alternative motion for escrow of taxes be, and hereby are DENIED.

/s/ William S. Myers, Jr.
Chief Judge

APPENDIX E

**IN THE DISTRICT COURT OF OKLAHOMA COUNTY
STATE OF OKLAHOMA**

Case No. CJ-84-9902

**PRIVATE TRUCK COUNCIL OF AMERICA, INC.,
CIRCLE W. TRANSPORTATION, INC.,
and ROY E. GRIFFIS, On Behalf of Themselves
and all Others Similarly Situated,**

Plaintiffs,

vs.

**STATE OF OKLAHOMA,
OKLAHOMA TAX COMMISSION, ODIE A. NANCE,
Individually as Chairman of the Oklahoma Tax Commission,
ROBERT L. WADLEY, Individually and as Vice-Chairman
of the Oklahoma Tax Commission, J.L. MERRILL,
Individually and as Secretary-Member of the Oklahoma Tax
Commission, and LEO WINTERS, Individually and as
State Treasurer of Oklahoma,**

Defendants.

TRANSCRIPT OF PROCEEDINGS

PROCEEDINGS had before the Honorable William S. Myers, Jr., Judge of the District Court of Oklahoma County, Oklahoma, on the 29th day of January, 1985.

[2] APPEARANCES

ON BEHALF OF THE PLAINTIFFS:

**Mr. William B. Rogers
Attorney at Law
6440 Avondale Drive
Oklahoma City, OK 73116**

Mr. Jacob Billig
Attorney at Law
2033 K Street, N.W.
Suite 300
Washington, D.C. 20006

Mr. Richard Allen
Attorney at Law
2033 K Street, N.W.
Suite 300
Washington, D.C. 20006

ON BEHALF OF THE DEFENDANTS:

Mr. Thomas Spencer
Assistant Attorney General
112 State Capitol Building
Oklahoma City, OK 73102

F. Andrew Fugitt
Assistant Attorney General
112 State Capitol Building
Oklahoma City, OK 73102

Mr. Stanley Johnston
Oklahoma Tax Commission,
Legal Division
M.C. Connors Building
Oklahoma City, OK 73105

[3] (Thereupon) and on the 29th day of January, 1985, with Mr. Rogers, Mr. Billig and Mr. Allen appearing as counsel for the Plaintiffs and Mr. Spencer, Mr. Fugitt and Mr. Johnston appearing as counsel for the Defendants, the following is the ruling of the Court:)

THE COURT: Are we ready for the Court's ruling? Apparently so.

I want to thank counsel for their briefs and for the fine manner in which they presented their argument to the Court.

I do think that Plaintiff's characterization of the tax as retaliatory is correct. I think that ultimately, these taxes, where a state imposes a burden on interstate commerce to get even for what has been done to its truckers, will be struck down and will cease to exist. I think ultimately, the Plaintiffs will probably prevail in this case. There are other questions, of course, that go to whether this Court should grant an Injunction, be it a Temporary Injunction, and also whether the Court should impound funds. One thing that I think is very important is the fact that this has been collected for nearly two years already and I'm looking to see the emergency nature of it. I am most confident that there will be an appeal from either party who does not prevail when the matter is decided ultimately on the merits by the assigned judge and this should take place, I would think, within the next thirty to sixty days, considering the speed with which such matters are decided. I think that there is substantially an adequate remedy provided by law. I recognize it doesn't cover the cost of preparing the necessary paperwork which all businessmen are inundated with today. Considering the very small amount that is involved on any one individual in the next thirty to sixty days and weighing that, to some extent, against the myraid of problems that would be created by an impoundment on a temporary basis prior to the resolution of this matter on its merits, I am going to decline to grant the Temporary Injunction or to impound funds. However, I will talk to the assigned judge and explain to him the fact that there should be a decision made on it promptly and see if he can't give you a quick hearing date on the merits. Thank you.

(END OF PROCEEDINGS.)

APPENDIX F

47 O.S. Supp. 1986 §1120 (K) provided in pertinent part:

In addition to those taxes or fees imposed by Sections 22.1 through 22.34 of this title, the same or substantially the same type or category of tax or fee may be imposed upon an out-of-state resident as is imposed upon residents of Oklahoma for the same or substantially similar use of a vehicle in such other state in the amount, or approximate total amount, of any fee or tax, including property, motor fuel, excise, sale, use or mileage tax required by the laws of such other state to be paid by a resident of this state making the same or similar use of a like vehicle in such state.

68 O.S. Supp. 1982 § 607.1 provided in pertinent part:

In addition to those taxes or fees imposed by Articles 5, 6, and 7 of this title, the same or substantially the same type or category of tax or fee may be imposed upon an out-of-state resident as is imposed upon residents of Oklahoma for the same or substantially similar use of a vehicle in such other state in the amount, or approximate total amount, of any fee or tax, including property, motor fuel, excise sales, use or mileage tax required by the laws of such other state making the same or similar use of a like vehicle in such state.

APPENDIX G

**IN THE SUPREME COURT OF THE
STATE OF OKLAHOMA**

No. 68,401

PRIVATE TRUCK COUNCIL OF AMERICA, INC.,
CIRCLE W TRANSPORTATION, INC.,
and ROY E. GRIFFIS, on behalf of themselves
and all others similarly situated,

Appellants,

v.

OKLAHOMA TAX COMMISSION, ET AL.,

Appellees,

and

ASSOCIATED MOTOR CARRIERS
OF OKLAHOMA, INC.,

Intervenor.

ORDER

The parties are directed to file simultaneous briefs on or before the 11th of March 1994, on the following issues:

1. What is the effect of *Dennis v. Higgins*, 498 U.S. 439, 111 S.Ct. 865, 112 L.Ed.2d 969 (1991), on Appellants' coextensive state law claims, including Appellants' right to attorney's fees in this case?
2. Is the Oklahoma Tax Commission liable for an attorney's fee under 42 U.S.C. § 1988 in this matter?
3. Because the Oklahoma Tax Commission is required by law to enforce statutes, which may be ultimately found

unconstitutional, should that fact defeat Appellants' claim to attorney's fees in this case?

4. What effect, if any, should we give to the trial court's denial of attorney fees in this litigation?
5. Is a § 1988 attorney's fee mandatory or discretionary under *Dennis*?

Consideration of Appellants' Motion to Remand is deferred until resolution of the foregoing issues.

DONE BY ORDER OF THE SUPREME COURT IN
CONFERENCE THIS 24TH DAY OF FEBRUARY, 1994.

\s\ Ralph B. Hodges
CHIEF JUSTICE

ALL THE JUSTICES CONCUR.

APPENDIX H

NON-WHOLLY OWNED SUBSIDIARIES
OF WESTINGHOUSE ELECTRIC CORPORATION

ADEPT Technologies	Inova Microelectronics, Inc.
AEG-Beteiligungs-gesellschaft MBH	Integrated Communication Systems, Inc.
AEG-Westinghouse Transportation Systems, Inc.	Alma Industries
Airship Industries, Ltd.	Corporate Interiors, Inc.
CEEC Investments Incorporated	Beaux Arts Group of Florida, Inc. (The)
Challenger Electrical Equipment Corporation	Corporate Environments of Minnesota, Inc.
CEEC Holdings Incorporated	Corporate Environments of Tennessee, Inc.
Computer Aided Training Company, Incorporated	Stillman/Estes, Inc.
Cypher Communications Technology, Inc.	Gaviform
Edge Emitter Technology, Inc.	Knoll International (SEA) Ltd.
Eletromar Industria Eletrica Brasileira, S.A.	Knoll Hong Kong PTE Ltd.
Eletromar Nordeste, S.A.	Knoll Malaysia Sdn. Bvd.
Email Westinghouse Pty., Limited	Lyn (PTE) Limited
Enwesa Servicos, S.A.	Topform Postforming (PTE) Ltd.
Eregli Demir ve Celik Fabrikalori, A.S.	Shaw-Walker Company (The)
Escorts, Ltd.	Mecanica Pesada, S.A.
Gamma Metrics	Mex Control S.A. de C.V.
Industria IEM, S.A. de C.V.	Micros Systems Inc.
Infrared Fiber Systems, Inc.	Photocomm, Inc.
Shaw-Walker Company, The	Powerex, Inc.
Siam Toracato de Tella, Ltd.	Project Funding Corporation
Silectra S.A. de C.V.	Serratos & Castells, S.A.
Speech Plus	Contadores Electricos, C.A. (CONTELCA)
Texas PFC, Inc.	Elektrik Technizati Imalti Tesisati, A.S.

Theta J. Corporation	Horiba Westinghouse, Ltd.
Turbine Metal Technologies, Inc.	Hyosung Heavy Industries, Ltd.
United Western Technologies Corp.	Industria Electrica de Mexico, S.A.
Vektron S.A.	Industria IEM, S.A. de C.V.
WB Bottling Corporation	Industria et Technologie de la Machine Intelligente (ITMI)
W.S. Industries (India) Ltd.	ISCOSA Industries and Maintenance, Ltd.
Westinghouse-Airship Industries, Inc.	Mex Control, S.A. and C.V.
Westinghouse de Argentina, S.A.	Reftrans, S.A.
Group W. Radio, Inc.	Silectra, S.A. de C.V.
Metron, Inc.	Societe Generale de Travaux Electriques (SGTE)
Herbinger*EDI Services, Inc.	ETIC BV Rotterdam
Westinghouse Electro Metalurgicas C.A. (WEMCA)	Westinghouse de Argentina, S.A.
Westinghouse do Brasil S.A. (WEBSA)	Westinghouse Asia Controls Corporation (WEASIA)
Eletromar Industria Electrica Brasileira, S.A.	Westinghouse Electric Australia Holdings Limited
Westinghouse Electric Australia Holdings Limited	Westinghouse Electric Australia Holdings Limited (WEAHL)
Email Westinghouse Private, Ltd.	Cemac Westinghouse Pty. Ltd.
Email Westinghouse Properties	Westinghouse Electric Supply Company of Saudi Arabia (WESCOSA)
	Societe Generale de Travaux Electriques (SGTE)
	Westinghouse Plasma Systems International, N.V.
	Westinghouse Saudi Arabia Ltd. (WSAL)
	Integrated Sensors, Inc.

64a

Jerry Thompson &
Associates, Inc.
Westinghouse Industria
Electrica Brasileira S.A.
Westinghouse Motor
Company
WEXICO Systems and
Services, Ltd.

